Pay to Play: Political Connections and the Allocation of Public Capital*

Jaejin Lee†

Abstract

Does political money steer public capital? Linking donor firms to politicians, I exploit close elections for state offices with pension board seats. Private equity firms donating to narrow winners receive commitments from funds the winners oversee at ten times the unconditional rate. Their funds underperform other donors' funds by 4 to 7 percentage points in net IRR. The effect is concentrated among officials who sit on the board in person, and connected funds charge higher carry and tilt toward the politician's state. The effect is not observed after the 2011 pay-to-play rule, proposed for rescission after industry advocacy.

*I am deeply grateful to Heitor Almeida, Jaewon Choi, Joshua Pollet, and Stefan Zeume for their invaluable guidance and support. In addition, I thank Vikas Agarwal, Tatyana Deryugina, Julia Fonseca, Can Huang, Jiekun Huang, Dana Kiku, Mathias Kronlund, Neil Pearson, Joshua Rauh, Julian Reif, Antoinette Schoar, Qiping Xu, Devin Zhang, and seminar participants at the University of Illinois at Urbana-Champaign, the 2024 SFS Cavalcade North America, the 2024 FMA, the 7th Advances in VC & PE Research Online Workshop, and the 2026 ACFE Research Institute Conference for helpful comments.

†Coles College of Business, Kennesaw State University, 560 Parliament Garden Way NW, Kennesaw, GA 30144, Email: jlee589@kennesaw.edu

1. Introduction

Politicians allocate capital they do not own: public pension assets, state investment funds, and public procurement. Whether campaign money steers that allocation, and what it costs the owners of the capital, has little direct evidence, because the counterfactual allocation is rarely observable. U.S. public pension funds provide such a setting. There the pattern is established: pension funds whose boards include more state officials select private equity (PE) funds that deliver lower returns (Andonov, Hochberg, and Rauh (2018); Korteweg, Panageas, and Systla (2026)). The mechanism behind the pattern is open. As both studies acknowledge, board-composition evidence is consistent with two distinct interpretations. Under the benign interpretation, the pattern reflects general channels that are not specific to any firm: politicians' limited investment experience or a preference for local economic development. Under the pay-to-play interpretation, politicians direct public capital to the specific firms that contribute to their election campaigns. The two interpretations carry different welfare and policy implications, but board-composition evidence cannot distinguish between them. Andonov, Hochberg, and Rauh (2018) note that political contributions capture only one of the channels through which poor incentives affect performance and that the corruption and control channels are difficult to disentangle, and Korteweg, Panageas, and Systla (2026) interpret their results as suggestive of political influence but leave the underlying mechanisms to future research.

This paper identifies the channel. Prior work measures whether a politician on the board received money from the finance industry and relates it to the fund's overall performance. I link a specific fund manager (general partner, or GP) to a specific politician through a campaign donation, use close elections to assign the link, and show that the fund then commits capital to that GP, that the commitment forgoes the premium that donating GPs otherwise earn, and that the pattern is concentrated in

the funds of the donating GP rather than in PE generally. The evidence is consistent with favoritism toward the specific firm that contributed.

Pay-to-play, as the SEC rule that governs it treats the conduct, is an allocation that follows a contribution, whatever the official's reason. This is the parameter I estimate. The design does not identify the official's intent, and the plan's forgone return does not depend on it. Limited experience and local development are not specific to any firm, and donating GPs on either side of the threshold are balanced on whether they are based in the state, so neither accounts for the selection of the donor's own fund. Despite the theoretical prediction that politicians distort decisions for personal gain (Shleifer and Vishny (1994); Frye and Shleifer (1997)), direct evidence of this kind, where politicians serve as fiduciaries of public assets, has been limited. U.S. public pension funds make it possible: they supply more capital to PE than any other investor group, and elected state officials hold or appoint board seats under statutes that predate PE as an asset class (Hess (2005); Andonov, Hochberg, and Rauh (2018); Clayton (2020)).

A motivating example is the NY State Common Retirement Fund's investment in Markstone Capital Group, a PE firm co-founded by Elliott Broidy. Broidy contributed to Alan Hevesi's 2002 campaign for NY State Comptroller, which Hevesi won by 3.9 percentage points, and Broidy provided Hevesi and his associates with nearly $1 million in benefits, including bundled contributions, luxury trips, and payments to a lobbyist. During Hevesi's term, the fund, with Hevesi as sole trustee, invested $250 million in Markstone's fund, whose net-of-fees internal rate of return in Preqin was -86%, against 7.92% for the other PE funds the pension fund invested in during his term. Hevesi later pleaded guilty to steering the fund's investments to political associates.[1]

[1]See the New York Attorney General's announcement of Hevesi's felony guilty plea in the pay-to-play investigation (October 7, 2010) and his sentencing (April 15, 2011). Broidy pleaded guilty in

Anecdotes such as this are suggestive but not systematic. In this paper, I examine individual PE firm and politician pairs: a PE firm contributes to a candidate, the candidate wins an office that carries a pension board seat, and the pension fund then commits capital to that firm's funds. To obtain quasi-random variation in these connections, I compare GPs whose supported candidate narrowly won a state executive office with GPs whose candidate narrowly lost, using close elections from 1998 to 2022 and relying on the assumption that close electoral outcomes have quasi-random components (Lee (2008); Eggers et al. (2015)). Campaign donations by GPs to candidates mark the connections, as in prior work on firm-politician ties (Claessens, Feijen, and Laeven (2008); Cooper, Gulen, and Ovtchinnikov (2010); Akey (2015)). I merge election results with micro-data on the commitments of public pension funds to PE funds, and because I observe the date of each commitment and the composition of each board, I attribute each decision to the board members serving at the time. GPs connected to winning and losing politicians are comparable along most dimensions that might affect pension funds' decisions, and the performance results hold when the GP's past performance is controlled for.

The estimated difference between GPs connected to a winning politician who becomes a board member of the pension fund and one who does not ranges from

December 2009 to a felony charge of rewarding official misconduct in connection with the Markstone investment. The contributions to Hevesi were made in the name of Broidy's wife, whom the campaign finance records list as a homemaker, and through bundling, so my employer-based matching does not link Markstone to Hevesi, and the Markstone commitment is not among the connection-based commitments in my sample. The same donor also contributed to the 2002 California Controller campaign, after which CalPERS committed $50 million to Markstone, a link my data miss for the same reason. Section 2 discusses the attenuation from such missed links. A second example lies outside my design because the design dates connections from contributions made before the election. CalPERS's 2004 investment of $5 million in HealthpointCapital Partners I followed the firm's partners having raised more than $50,000 for Controller Steve Westly, elected in 2002 by 0.2 percentage points, and after the system's outside advisers had rejected the fund (Los Angeles Times, April 6 and May 10, 2006); the fund's net IRR in Preqin is -0.1%, against a median of 7.3% for the other PE funds CalPERS committed to in the 2003 to 2005 vintages.

roughly 5 to 10 percentage points (pp) in the likelihood of receiving a commitment.[2] Against an average investment probability of between 0.5% and 0.8% in my sample, this is roughly a tenfold increase. Offices without influence over board membership show at most a small effect, 0.7 pp at the ± 5 pp margin and none at narrower margins, and the effect is larger among ex officio board members who hold the seat in person than among offices that merely appoint members. The PE funds selected through these connections underperform comparable funds of donating GPs by 4.2 pp to 7.1 pp in net internal rate of return (IRR), forgoing the selection premium that donating GPs otherwise earn. These connection-based commitments arise from election cycles between 2002 and 2010, before the federal pay-to-play rule took effect. After SEC Rule 206(4)-5 severed covered contributions from advisory mandates in 2011, the selection effect of 6.1 pp for earlier elections is not observed, an attenuation consistent with the rule binding, although commitment rates fell for all groups after 2011. The evidence is consistent with pay-to-play as the SEC rule defines it, favoritism toward the specific contributing firm, whether or not an explicit exchange lies behind it.

The magnitude may appear puzzling relative to the size of the donations, because a large literature questions whether campaign contributions purchase government favors: contributions are small relative to the policies at stake, most studies find no effect on legislators' votes, and giving behaves more like consumption than investment (Ansolabehere, De Figueiredo, and Snyder Jr (2003); Milyo, Primo, and Groseclose (2000)). Using the same close-election design, Fowler, Garro, and Spenkuch (2020) find no effect of a supported candidate's victory on the donating firm's value. My results are consistent with this evidence for two reasons. First, those studies examine outcomes, such as legislative votes and firm value, that no individual politician can deliver, whereas a pension commitment is a concentrated, discretionary, and low-

[2] This range corresponds to the estimates for ex officio board offices, 4.7 pp to 10.4 pp. The estimates for all board offices range from 3 pp to 7.9 pp.

visibility allocation made by a board on which the connected politician personally serves, a setting in which Fowler, Garro, and Spenkuch (2020) acknowledge that returns to contributions may arise. Second, the donation is not the price of the favor but a costly, publicly observable proxy for a connection through which other resources may flow unobserved: revealing donor status alone substantially increases access to senior officials (Kalla and Broockman (2016)), and donations in close elections mark valuable firm-politician relationships (Akey (2015)).

Consistent with this interpretation, the average GP donation places the GP in the top five percent of individual donors in the corresponding race,[3] donations of this size are salient in the down-ballot races that constitute most of my sample, and only about five percent of donating GPs hedge by contributing to both candidates. Section 5 prices the connection: what the GP reports paying, what the connection secures, what it costs the plan sponsor, and what prosecuted pay-to-play cases show the unobserved payments to be. The reported contribution is a few thousand dollars, the commitment it is associated with averages about $51 million, and the sponsor's shortfall on that commitment runs from about $1 million to $22 million depending on the benchmark, so the price of influence is small relative to the capital it directs and to what it costs.

The mechanisms point the same way. The connection effect is concentrated among ex officio board offices, whose formal authority over commitments I document plan by plan. The connection effect is statistically significant only in states with above-median corruption, a pattern I read as suggestive.

On the performance side, connection-based PE funds hold a higher share of portfolio firms in the connected politician's state. Funds of all close-race donors tilt toward the state by about as much within state, vintage, and fund type cells, so the tilt is

[3]Computed from the FollowTheMoney individual-donor distributions underlying my contribution data: the mean GP donation sits at the 96th percentile of donor totals in the average race in the full sample and at the 95th percentile in the close-election sample, and above the 96th percentile in the median race in both samples. Committee and organization donors are excluded from the denominator.

consistent with a connection channel behind the home bias documented by Hochberg and Rauh (2013) but cannot by itself separate that channel from local development. The performance gap is a forgone selection advantage rather than outright capital destruction: funds of donating GPs outperform other funds in the same state, vintage, and fund type by 7 pp to 9 pp, and connection-based commitments forfeit most of this premium, retaining 1.3 pp to 3.3 pp of it in net IRR across specifications, while on market-adjusted measures they fall below the plan's holdings in the same state, vintage, and fund type. A favoritism channel that delivers average-looking performance is less likely to attract scrutiny from other trustees, consultants, or beneficiaries than one that produces visible losses, which helps explain how it persists.

This paper builds on the literature on political representation and the governance of public pension funds (Andonov, Hochberg, and Rauh (2018); Korteweg, Panageas, and Systla (2026)), which establishes the pattern and leaves the detailed channels and mechanisms open. My contribution is the mechanism, observed at the level of the individual donor GP, the individual politician, the board seat conferred by the election, and the subsequent commitment. The magnitudes are measured against different reference groups: Andonov, Hochberg, and Rauh (2018) report that a ten percentage point increase in the fraction of board members who are state officials reduces net IRR by 0.9 pp for state-appointed officials and by 0.5 pp for ex officio officials, relative to other plans' holdings, whereas the 4 pp to 7 pp gap here is measured against the other funds of donating GPs, which themselves outperform the plan's holdings in the same state, vintage, and fund type. Whereas the literature on political connections measures their value to firms (Fisman (2001); Faccio (2006); Goldman, Rocholl, and So (2009); Akey (2015); Acemoglu et al. (2016); Schoenherr (2019); Brown and Huang (2020); Brogaard, Denes, and Duchin (2021); Bertrand et al.

(2018); Fowler, Garro, and Spenkuch (2020)), I measure the cost they impose on public asset owners when politicians serve as fiduciaries.

The paper also speaks to the determinants of matching between limited partners (LPs) and GPs in PE (Lerner and Schoar (2004); Da Rin and Phalippou (2017); Lerner et al. (2022); Goyal, Wahal, and Yavuz (2024)), to deviations of pension funds from return maximization driven by social objectives, career concerns, and political motives (Barber, Morse, and Yasuda (2021); Pennacchi and Rastad (2011); Novy-Marx and Rauh (2011); Dyck, Manoel, and Morse (2022)), and to the role of proximity and networks in investment decisions (Coval and Moskowitz (2001); Hong, Kubik, and Stein (2005); Cohen, Frazzini, and Malloy (2008); Brown, Pollet, and Weisbenner (2015); Hochberg and Rauh (2013)). Closest in spirit, Bradley, Pantzalis, and Yuan (2016) document longer holding periods in the public equity of contributing firms, but their evidence is correlational and does not link individual politicians to individual firms. I use politician and GP pairs and quasi-random electoral outcomes to estimate the effect of connections on PE commitments and to trace the mechanisms behind them.

2. Data

Public pension funds are the largest investors in PE, supplying over 35% of the capital in the asset class as of 2020 (Clayton (2022)), up from 29% of capital invested from 2001 to 2011 (Bailey (2013)). I observe the PE fund-level investment decisions of U.S. public pension funds sponsored by state and local governments from 1998 to 2022, and the political contributions of PE firms in U.S. state elections, by election cycle and with the outcome of each election.

The investment data come from Preqin. I observe investments by institutional investors serving as limited partners in PE funds, with each fund's performance,

measured as net internal rate of return (IRR), fund size, and carry rate, from 1998 to 2022. The main advantage of these data is that the LP-GP investment records identify the timing of each LP's commitment to each PE fund. For the investment strategies of PE funds, I obtain deal-level data between PE funds and their portfolio firms from Preqin portal, including the fund type, the target firm, its location, and the deal date. Preqin assembles most of its data on U.S. public pensions through Freedom of Information Act requests, which gives comprehensive coverage for public pension funds (Hochberg and Rauh (2013); Begenau et al. (2020)), and Harris, Jenkinson, and Kaplan (2014), Brown et al. (2015), and Gupta and Van Nieuwerburgh (2021) show similar performance estimates across the commercial PE datasets.

The contribution data come from the National Institute on Money in State Politics, a nonpartisan organization that archives a 50-state database of contributions to state campaigns.[4] I consider donations to candidates for the offices that typically hold ex officio seats on public pension boards: governor, lieutenant governor, treasurer, state controller, comptroller, secretary of state, attorney general, auditor, chief finance officer, and superintendent of public instruction, over election cycles from 1998 to 2022. I link PE firms in Preqin to contributors by matching firm names with the contributor or the contributor's employer (Appendix IA.3).[5] Donations are aggregated at the GP-candidate-election level, and aggregated amounts below $1,000 are excluded to avoid reflecting individual ideology unrelated to the GP's strategic decisions. I add

[4]Detailed information is available in McGovern and Greenberg (2014). The website address for the state election campaign contribution is https://www.followthemoney.org/.

[5]Matches are verified by hand, so measurement error takes the form of missed connections rather than false positives, which attenuates the estimates toward zero. I include corporate and individual contributions, as prior work documents that individual executive contributions are associated with post-election firm value (Faccio (2006); Goldman, Rocholl, and So (2009); Fulmer, Knill, and Yu (2023)). Individual contributions matter here because most GPs are small, with a median staff of twenty and a median investment team of fourteen in Preqin, for which a political action committee is unlikely to be cost-effective. See Appendix IA.3.

the vote outcome of each election from OurCampaigns and define the vote margin as the percentage points by which a candidate wins or loses.

The main analysis excludes GPs that donate to both the winning and the losing candidate in the same election, since such GPs form a connection with the winner with certainty and would attenuate the discrete change in the outcome. They are about 5% of the sample, comparable to Akey (2015) for U.S. congressional elections, which suggests that establishing a connection is costly and that a donation functions as a public marker of the connection.[6]

To determine whether an office carries a pension board seat, I collect board composition and appointment procedures from each fund's Comprehensive Annual Financial Report, and from state and municipal codes where the report does not specify them. I use time-invariant board composition, since Andonov, Hochberg, and Rauh (2018) show that it rarely changes and was typically fixed long before public pension funds began allocating to PE. For pension fund characteristics, I use the Public Plans Database from the Center for Retirement Research at Boston College.[7] For state corruption, I use the conviction-based measure of Glaeser and Saks (2006), federal public-corruption convictions per public employee from the Department of Justice's Public Integrity Section, widely used in prior work (Butler, Fauver, and Mortal (2009); Hochberg and Rauh (2013)), and the 2003 survey-based measure of Boylan and Long (2003), which scores states from -3 (least corrupt) to 3 (most corrupt).

Table 1 presents the summary statistics. Panels A, B, and C present elections with ± 5 pp, ± 3 pp, and ± 1 pp vote margins. At the GP-candidate-pension level, the average contribution from a GP to a candidate ranges from \$4,001 to \$6,950, the average of $\mathbb{1}\{\textit{Investment}\}$ from 0.5% to 0.8%, and the average of $\mathbb{1}\{\textit{Board Title}\}$ from 7.7%

[6]The low share of hedged donations also alleviates the concern that GP contributions reflect personal ideology, which would produce many GPs contributing to both candidates.

[7]The database covers 229 plans and 95% of public pension assets from 2001 to 2022. I match it to Preqin by fund name.

to 9.1%. Panel A of Figure 1 plots GP donations over time. Most states hold general elections in the same year at four-year intervals, so both the average amount and the number of donations follow a four-year cycle,[8] and the average donation rose substantially over the 2006 to 2010 cycles, which end with the Supreme Court's 2010 ruling in *Citizens United v. Federal Election Commission*. Public pension funds' allocation to alternative assets also rose sharply after 2006 while funded status fell (Internet Appendix Figure IA.1).[9] Panel B shows that about 52% of GP contributions go to candidates for governor, (the distribution of contribution amounts and donations by office is in Internet Appendix Figures IA.3 and IA.4).[10] Internet Appendix Table IA.1 compares GPs that contribute with those that do not: contributing GPs are older, have larger AUM, manage more PE funds, and perform better, and within contributing GPs, contribution years show slightly larger AUM, more non-buyout funds, and worse past performance than other years.

3. Empirical Strategy

The ideal experiment to identify the causal effect of political connections with state officials on public pension funds would be to randomly assign such connections to GPs. In practice, comparing a group of GPs with connections to a control group with no connections is subject to potential endogeneity problems. The decision to engage in political activities might be correlated with some unobserved factors that also affect the investment decisions of public pension funds. For example, the future cash flows from the portfolios of GPs may affect both their engagement in

[8] All states except Louisiana and Mississippi hold general state elections in the same year.

[9] See Internet Appendix Figure IA.2 for the time series of investment allocation of U.S. public pension funds by asset class.

[10] For contributions made as a set for both governor and lieutenant governor, I allocate the contribution to both offices, so the governor share ranges from 52% to 78%.

political contributions as an investment in political capital and their likelihood of receiving investments from public pension funds.

To overcome this identification challenge, I exploit the governance structure of pension boards, in which politicians must win state elections to obtain a board position, and I use close state elections to obtain quasi-random variation in electoral outcomes. The identification assumption is that close elections involve inherent uncertainty (Lee, Moretti, and Butler (2004); Lee (2008); Eggers et al. (2015)). Following Nguyen et al. (2012), Akey (2015), and Do, Lee, and Nguyen (2015), I focus on state executive elections decided by less than five, three, and one percentage points.[11]

The mapping from election outcomes to board influence is predetermined: the composition of boards of trustees at public pension funds is largely static and set by state or municipal codes and statutes adopted before PE became an available asset class (Andonov, Hochberg, and Rauh (2018)). Which office holds or appoints a given board seat therefore does not respond to campaign finance or to pension fund performance. This institutional feature pins down the mapping from offices to board seats, but it does not by itself address the endogeneity of which GP is connected to which politician. Identifying the effect of the connection requires the quasi-random variation in electoral outcomes from close elections that I exploit throughout.

My identification assumption is that the outcomes of close state elections are analogous to random assignment within a narrow range around the zero vote margin. Do, Lee, and Nguyen (2015) and Eggers et al. (2015) provide evidence that the outcomes of close U.S. state elections are quasi-random, with no systematic or predictable sorting of winning and losing candidates.[12] To further support the quasi-random assign-

[11] Ex ante closeness from polling data would be a cleaner measure, but polling data for down-ballot state elections are not consistently available.

[12] This assumption is supported for the races in my sample specifically, not only for close elections in general: the share of close races won by the donated candidate is statistically indistinguishable from one half at every window (55.2% within ± 0.5 pp, 53.2% within ± 1 pp, 52.6% within ± 2 pp, and 55.0% within ± 5 pp), and exact binomial tests cannot reject an even split at any window.

ment of electoral outcomes, I examine the continuity of observable, predetermined characteristics of GPs that might influence the investment decisions of public pension funds. To compare the characteristics between GPs based on the heterogeneity of electoral outcomes of their connected candidate, I employ a sample at the GP-candidate-election level using the following specification for close elections:

$$y_{g,c,s,t} = \alpha_s + \alpha_t + \beta_1 Winner_{g,c,s,t} + \varepsilon_{g,c,s,t}\,, \tag{1}$$

where $y_{g,c,s,t}$ denotes the outcome of interest. The g indexes GPs, c indexes election candidates, s indexes states where candidate c runs, and t indexes election year. $Winner_{g,c,s,t}$ is an indicator variable that equals one if GP g donated to candidate c who wins state s election at year t. α_s denotes state fixed effects and α_t denotes the election year fixed effects.

Because GPs raise funds several years apart and some characteristics are often missing, GP controls are available for a smaller sample. Nevertheless, to test for differences in each variable around the threshold, I examine past assets under management (AUM), age of GP, number of buyout funds raised in the prior five years, and the location of the GP. I define *GP AUM* as the aggregate size ($million) of PE funds raised during the previous five years at a given year. The *GP Age* of the GP is calculated as the difference between the given year and the establishment year of the GP. # *Buyout Funds* is the number of buyout funds raised by the GP in the five years before the election. The *Home GP* designation is assigned if the GP is located in the election state, which is the state of the pension fund, providing a measure of geographic proximity between GPs and public pension funds. I define *Plan Funded Ratio* as the ratio of a public pension fund's actuarial assets to its actuarial liabilities over the five years preceding the given election year. The *Plan Investment Return* is calculated as the annual investment return of public pension funds dur-

ing the previous five years before the given election year. To avoid the limitation of the availability of the control variables, the main analysis on the selection of GPs by public pension funds does not include the controls.

Table 2 presents the main coefficients, denoted as β_1 and defined in Eq. (1). Columns (1), (2), (3), and (4) report results from state elections for the full sample and for elections with vote margins of ± 5, ± 3, and ± 1 percentage points, respectively. Each row corresponds to a characteristic of GPs and pensions, with the main coefficient estimated using Eq. (1) as listed in the first column of Table 2. Most coefficients are statistically insignificant and economically small. Three covariates differ significantly in some windows: the past performance of donating GPs, which is lower for GPs connected to winning candidates at the ± 3 pp margin, GP assets under management and plan investment returns at the ± 5 pp margin, and the number of buyout funds in the full sample and at the ± 3 pp margin. The past-performance imbalance is the most relevant for my outcomes, and I address it directly: the performance results are unchanged when I control for the GP's prior-fund performance (Internet Appendix Table IA.2). The remaining predetermined observables show no significant differences between GPs donating to winning candidates and GPs donating to losing candidates in close elections. I observe no differences in past AUM measures and GP age, which alleviates concerns that the differences in GP age may affect investment decisions (Goyal, Wahal, and Yavuz (2024)). Beyond the marginal buyout imbalance, the general investment strategies or patterns of both GPs and public pension plans show no differences. Finally, the location of GPs relative to the pension fund, which predicts pension funds' investment decisions (Hochberg and Rauh (2013)), does not differ across the threshold either, consistent with close electoral outcomes being as good as random.

Building upon this identification assumption, I employ the following specification for close elections to examine the effects of political connections on the investment decisions of public pension funds:

$$\mathbb{1}\{Investment\}_{g,c,s,l,t} = \alpha_s + \alpha_t + \beta_1 Winner_{g,c,s,t} \times \mathbb{1}\{Board\ Title\}_{c,s,l} + \beta_2 Winner_{g,c,s,t} + \beta_3 \mathbb{1}\{Board\ Title\}_{c,s,l} + \varepsilon_{g,c,s,l,t}\,, \tag{2}$$

where g indexes GPs, c indexes election candidates, s indexes state where candidate c runs, l indexes public pension funds, and t indexes election year. $\mathbb{1}\{\text{Board Title}\}_{c,s,l}$ is an indicator variable that equals one if the title of office for the state s election, which the candidate c runs for, obtains or assigns a board membership of public pension funds l by virtue of holding the office and is zero otherwise. α_s denotes state fixed effects and α_t denotes the election year fixed effects. Standard errors are clustered by state.

My main dependent variable is a measure of the selection of GPs by public pension funds, which I refer to as $\mathbb{1}\{\text{Investment}\}$. Each GP g in my sample makes a donation to candidate c for state s election. I construct the $\mathbb{1}\{\text{Investment}\}$ variable based on granular pairwise combinations of GP g and individual public pension funds l. I define $\mathbb{1}\{\text{Investment}\}_{g,c,s,l,t}$ as equal to one if public pension fund l in state s commits capital to a PE fund managed by GP g, which made a campaign contribution to candidate c, during the upcoming term of the office sought in the state s election of cycle t, and zero otherwise.

The primary coefficient of interest is β_1, which measures the differential effect of a political connection to a candidate c whose potential new position obtains or assigns a board member position in public pension fund l relative to other types

of candidates whose potential office position neither appoints nor is assigned as a member of the board of trustees in public pension fund l.

4. Results

In Section 4.1, I investigate the effects of political connections on investment decisions at the individual level of public pension funds. To exploit the heterogeneous influence of a politician across the board of public pension funds, I further examine the differential impacts based on the office position of a politician when appointed or assigned as a board member of the pension board. In Section 4.2, I present the empirical analysis of the performance in politically connected PE funds in which public pension funds invest, examining whether these connection-based investments enhance or undermine the investment performance of pension funds.

4.1 Investment Decisions

I investigate the effect of political connections on the investment decisions of public pension funds, measured during the post-election term of office that the connected politician runs for. To exploit the heterogeneous influence of politicians on public pension funds, I first split the sample by the $\mathbb{1}\{\textit{Board Title}\}$ dummy variable and examine the effect when a politician sits on or assigns delegates to the board of each public pension fund. Figure 2 presents graphical analyses of the mean $\mathbb{1}\{\textit{Investment}\}$ value by the margin of victory or defeat, grouping politicians based on the $\mathbb{1}\{\textit{Board Title}\}$ variable. Panels (A) to (C) use vote margins of five, three, and one percentage points, with losing candidates below the threshold and winning candidates above it. Among the office positions that are assigned as or appoint a pension board member, GPs connected to winning candidates are significantly more likely to receive investments

from the pension fund, compared to cases where the connected politicians lose. In contrast, office positions that do not affect board membership show a much smaller change in this likelihood. The magnitude of the differences is greatest for the narrowest vote margin of (-1 pp, +1 pp). Internet Appendix Figure IA.5 provides additional graphical analyses on the difference in mean $\mathbb{1}\{Investment\}$ value by the margin of victory and defeat on each group based on $\mathbb{1}\{Board\ Title\}$. It shows a significant difference only for offices that hold or appoint a seat on the pension fund's board.

Panel A of Table 3 presents estimates of the effect of political connections with a winning candidate on the investment decisions of public pension funds, using Eq. (2). Columns (1), (2), (3), and (4) show results from state elections with vote margins of full sample, ± 5, ± 3, and ± 1 pp, respectively. The pension funds' favorable investment in connected GPs is more significant when the connected politician is assigned as or appoints a board member to public pension funds. Column (1), using the full sample of state elections, shows no significant effect. When using close elections that provide quasi-random assignment of electoral outcomes, the wedge between winning politicians who have influence on the board and those who do not ranges from 3 pp to 7.9 pp, which is large relative to the base rate, given that the average probability of $\mathbb{1}\{Investment\}$ ranges between 0.5% and 0.8%.

To further explore the heterogeneous effects by the pension board membership of the offices that state elections' candidates run for, I also directly compare the effects of the offices that are assigned as a board member of the pension fund to those that appoint a board member, by running the following regressions:

$$\begin{aligned}\mathbb{1}\{Investment\}_{g,c,s,l,t} = \alpha_s + \alpha_t + \beta_1 Winner_{g,c,s,t} \times \mathbb{1}\{Ex\ officio\}_{c,s,l} + \beta_2 Winner_{g,c,s,t} \times \mathbb{1}\{Appoint\}_{c,s,l} \\ + Winner_{g,c,s,t} + \mathbb{1}\{Ex\ officio\}_{c,s,l} + \mathbb{1}\{Appoint\}_{c,s,l} + \varepsilon_{g,c,s,l,t}\,, \qquad (3)\end{aligned}$$

where $\mathbb{1}\{Ex\ officio\}_{c,s,l}$ is a dummy variable equal to one if the office which candidate c runs in state s is assigned as a board member of the public pension fund l in state s. Similarly, $\mathbb{1}\{Appoint\}_{c,s,l}$ is a dummy variable equal to one if the office which candidate c runs in state s appoints a board member of public pension fund l in state s. α_s denotes state fixed effects and α_t denotes the election year fixed effects.

Panel B of Table 3 displays the estimated treatment effects from Eq. (3) under the same specifications as Panel A. The results indicate that political connections with politicians who actually sit on the public pension fund raise the probability that the pension fund commits to the connected GP's funds. The treatment effects for the ex officio board member range from 4.7 pp to 10.4 pp in close state elections, larger than the baseline results in Panel A, and the full-sample estimate in column (1) is 3.3 pp and significant at the 5% level. While the political connection to the ex officio member shows significant treatment effects, connection to offices that appoint a person as a pension board member shows no consistent significance across various specifications, although there is some marginal significance in columns (2) and (3). This indicates that the influence of political connections is more pronounced when the connected politician holds the seat in person rather than appointing its holder. Further, F-tests reject the null that the two interaction coefficients, on $Winner \times \mathbb{1}\{Ex\ officio\}$ and $Winner \times \mathbb{1}\{Appoint\}$, are equal at the 10% level, except in column (2) (the ± 5 pp window).

Similar to Figure 2, I calculate the average outcomes of $\mathbb{1}\{Investment\}$ by margin of victory or defeat, grouping politicians based on the $\mathbb{1}\{Ex\ officio\}$ and $\mathbb{1}\{Appoint\}$ variables. Figure 3 groups candidates by whether their office has no board role, appoints a board member, or holds an ex officio seat, below and above the threshold, for the same three windows. I find significant differences among elected politicians whose office is assigned as a board member of public pension funds, as captured by the indicator

$\mathbb{1}\{Ex\ officio\}$. In contrast, offices that appoint board members show no persistently significant differences in close elections. Internet Appendix Figure IA.6 also provides additional graphical analyses on the difference in mean $\mathbb{1}\{Investment\}$ value by the margin of victory or defeat across each group based on $\mathbb{1}\{Ex\ officio\}$ and $\mathbb{1}\{Appoint\}$ variables. It shows that there is a consistent significant difference only among politicians whose title is assigned as a board member in a given public pension fund.

Overall, the results in Table 3 show that there is a consistent pattern in line with the notion that political connections facilitate favorable investment decisions for public pension funds. The impact is significant when the connected politician holds the board seat in person.

4.2 Investment Performance

Whether connection-based investments help or harm performance is an empirical question: connections could carry an informational advantage in an opaque asset class, or political incentives could dominate the incentive to select the best-performing funds.

The sample consists of every PE fund that a public pension fund in the sample commits to during the office term that follows each state election, which holds the plan's selection ability fixed, and it excludes funds whose GP donated in a non-close election, so that connections are defined by close elections as in Section 3. Because the comparison conditions on a commitment having been made, and the connection itself changes which commitments are made, the estimates describe the performance of the funds that connected pension funds selected rather than a dis-

continuity at the electoral threshold. I estimate

$$y_{f,g,c,s,v,k,p} = \beta_1 \mathbb{1}\{Donated\}_{f,g,c,s,v,k,p} + \beta_2 \mathbb{1}\{Donated\}_{f,g,c,s,v,k,p} \times \mathbb{1}\{Connected\}_{f,g,c,s,p} + \alpha_v + \alpha_k + \alpha_{s(p)} + \varepsilon_{f,g,c,s,v,k,p}\,, \tag{4}$$

where f indexes the PE fund, g the GP, c the candidate, s the state, v the vintage year, k the fund type, and p the public pension fund. $\mathbb{1}\{Donated\}$ equals one if the fund's GP made a campaign contribution to a candidate in a close state election, and $\mathbb{1}\{Connected\}$ equals one if that candidate sits on the board of pension fund p as an ex officio member. α_v, α_k, and $\alpha_{s(p)}$ are vintage year, fund type, and state or pension fund fixed effects, and standard errors are clustered at the state level. The coefficient of interest, β_2, measures the difference between connection-based funds and the other funds of donating GPs, while β_1 separates GPs that donate from GPs that do not. I use close elections with vote margins of ± 5, ± 3, and ± 1 pp, as in the selection analysis.

The performance measure is the net-of-fees IRR, a simple measure of fund return that ignores movements in the PE market and other sources of risk (Kaplan and Schoar (2005); Phalippou and Gottschalg (2009); Harris, Jenkinson, and Kaplan (2014); Kaplan and Sensoy (2015)). The vintage year and fund type fixed effects absorb market movements and fund type risk, and Panel B of Table 4 adds market-adjusted measures.

Connection-based PE funds underperform the other funds of donating GPs. Panel A of Table 4 reports the estimates of Eq. (4) on net IRR (%) with state or pension fund fixed effects. The coefficients on $\mathbb{1}\{Donated\}$ are positive and significant in the close-election columns, so GPs that contribute perform better overall. The interaction terms are significant only in close elections, columns (3) to (8), with magnitudes from -4.2 pp to -7.1 pp against an average net IRR of about 16.8%. Given the wide dispersion

of PE fund returns, a shortfall of this size may not draw the attention of other board members or investment consultants, which may help explain how the pattern persists, yet over a fund life of about ten years (Metrick and Yasuda (2010)) it accumulates into a substantial forgone return. The state and pension fund fixed effects rule out state investment policies or plan-level programs as the source, since the comparison is within the same state or the same plan. Investment consultants, which pension funds with political boards hire more intensively (Andonov, Bonetti, and Stefanescu (2025)), may transmit part of the effect, which my data cannot identify, although a consultant channel would itself be a mechanism of political influence rather than a benign alternative.

The premium that donating GPs earn is specific to donors in close races. Splitting *Donated* by closeness (Internet Appendix Table IA.3), funds of close-race donors outperform other funds in the same state, vintage, and fund type by 6.1 pp, against the 7 pp to 9 pp coefficient on *Donated* in the close-election columns of Table 4, while funds of donors in uncompetitive races perform like funds of non-donating GPs, 0.3 pp. Close-race donors are younger and smaller GPs with a stronger recent track record, a past net IRR of 19.7% against 12.5%, which is what the investment view of contributions predicts (Snyder (1990); Stratmann (1992); Gordon, Hafer, and Landa (2007)), and a narrow winner may owe more to each supporter and have stronger incentives to reward donors (Besley and Case (1995); Kalla and Broockman (2016)), although Lee, Moretti, and Butler (2004) find no effect of electoral strength on legislators' voting. The identifying contrast is within close-race donors, so the premium defines the counterfactual rather than the treatment: connection-based commitments forgo the premium that these donors otherwise deliver.

Vintage year and fund type fixed effects may not fully absorb market movements, because two funds of the same vintage deploy and return capital at different times. Panel B of Table 4 therefore reports market-adjusted measures computed from fund

cash flows against the CRSP value-weighted index: the total value to paid-in multiple (TVPI), the Kaplan and Schoar (2005) public market equivalent (KS-PME), and the direct alpha of Gredil, Griffiths, and Stucke (2023), the annualized market-adjusted return implied by compounding each cash flow with the index.[13] At the ± 5 pp margin, connection-based funds show a 0.42 lower TVPI, a 0.32 lower KS-PME, and a 6.2 pp per year lower direct alpha than the other funds of donating GPs in the same state. At the ± 3 pp margin the donor premium is itself imprecise for TVPI and KS-PME, 0.085 and 0.053, as is the KS-PME gap, so the market-adjusted comparison rests on the ± 5 pp columns. The 0.32 lower KS-PME implies that the typical connection-based commitment returns roughly its public market equivalent, whereas the other funds of donating GPs return well above it, an excess that averages 0.08 across all funds in the sample. The underperformance is therefore not an artifact of the IRR measure or of coarse market adjustment. In summary, connection-based commitments do not earn the selection premium that the other funds of donating GPs deliver.

5. Costs and Benefits of a Connection

What does a connection cost the GP, what does it secure, and what does it cost the pension plan? The accounting is limited to what is observable: the campaign contribution, the commitment, and the fund's performance. The hidden side of the exchange is not observable to the econometrician. The literature documents placement-agent fees, conduit donations, in-kind benefits, and future employment of the official through the revolving door as the payments behind such connections (Dinç (2005); Bertrand et al. (2018); Blanes i Vidal, Draca, and Fons-Rosen (2012)), and a home-

[13] Cash flows are available for all but one of the commitments with a reported net IRR and for about 1,800 commitments without one, so the TVPI and KS-PME samples are larger than the net IRR sample. Direct alpha is computed for resolved funds and for funds at least five years old with at least ten distributions, so its sample is smaller.

state tilt may deliver local economic benefits that the plan's return does not capture (Section 6.4). I therefore treat the contribution as a lower bound on what the GP pays, leave unobserved benefits outside the accounting, and calibrate the hidden price from prosecuted cases. Table 5 combines the estimates of Section 4.1 and Section 4.2 with the mean connection-based commitment, in the spirit of Jayachandran (2006) and Akey (2015), and Internet Appendix Table IA.4 reports the distribution of each input.

The contribution that marks a connection is small: a median of $2,625 per GP-candidate pair, or 0.07% of the winning candidate's receipts. What it secures is not. A connection raises the probability of a commitment by 4.7 pp (Table 3, Panel B, column (2)), the mean connection-based commitment is $51 million, and standard fee terms imply a present value of fee and carry revenue of $10.8 million on such a commitment (Metrick and Yasuda (2010); Table 5, Panel B), an upper bound on the GP's rent. The expected fee revenue per connection is therefore about $0.5 million, about 190 times the median contribution and 50 times the mean.

The cost side rests on the performance gap of Table 4. Connection-based funds return 4.2 pp to 7.1 pp less per year in net IRR, at most $2.2 million to $3.6 million per year on the mean commitment, and the TVPI gap of 0.42 puts the value shortfall over the fund's life at $22 million, or $1.0 million in expectation per connection (Table 5, Panel B).[14] Because benefits in these plans are guaranteed, the shortfall does not fall on members but on the plan sponsor, and through unfunded liabilities on taxpayers and future contributions (Novy-Marx and Rauh (2011)). Pricing the cost from the funds' cash flows instead of the IRR gap, against the other funds of donating GPs, non-donor funds of the same vintage and type, non-donor funds

[14]The TVPI gap is the ± 5 pp estimate in Panel B of Table 4, the baseline window for every input in the chain. The ± 3 pp estimate of 0.27 puts the shortfall at $14 million. Against the plan's holdings in the same state, vintage, and fund type, connected funds retain 1.3 pp to 3.3 pp of the donor premium in net IRR, while the market-adjusted estimates place them 0.21 of TVPI and 0.12 of KS-PME below those holdings.

held by plans in the same state, and the public market (Kaplan and Schoar (2005)), connection-based commitments lose 0.18 to 0.20 of TVPI per dollar paid in against the funds of donating GPs and 0.02 to 0.10 against the other benchmarks, or $1 million to $10 million on the mean commitment (Internet Appendix Table IA.5). At the plan level the cost is modest, a drag of 0.06 pp to 0.1 pp per year on the plan's PE return, because connection-based commitments are about 1.4% of the plan's PE commitments by dollars and about 3% by number.

The ratio of what a connection secures to the reported contribution suggests that the contribution is not the price. In the 19 prosecuted pay-to-play cases summarized in Internet Appendix Table IA.6, transfers to officials and intermediaries, mostly sham placement and finder fees, amount to a median of 0.75% of the investment secured, with an interquartile range of 0.4% to 1.2%, and campaign contributions appear in only one of them.[15] Applying their price per dollar of investment to the mean commitment (Table 5, Panel C) puts the hidden price at $0.2 million to $0.6 million, 76 to 231 times the median contribution, 2% to 6% of the fee and carry revenue a secured commitment generates for the GP, and 1% to 3% of the $22 million value shortfall it imposes on the sponsor.

In sum, a connection costs the GP a few thousand dollars in reported contributions and, in prosecuted cases, a few hundred thousand dollars in hidden payments. It secures a commitment of about $51 million that generates about $11 million in fee and carry revenue, and it costs the plan sponsor between $1 million and $22 million on that commitment, depending on the benchmark. Per dollar of reported contribution, a connection yields about $190 of expected fee and carry revenue to the GP and imposes about $390 of expected value shortfall on the sponsor (Table 5, Panel C). The

[15]The cases are concentrated: 14 of the 19 come from one scheme at the New York State Common Retirement Fund, and all predate the SEC's pay-to-play rule, adopted in 2010. The median in the five other cases is 1.0%. Only schemes that were detected and prosecuted appear, so the cases need not represent the typical price, and the detected schemes may be the larger ones.

price of influence is small relative to both what it secures and what it costs, and the cost falls on the sponsor and taxpayers rather than on the official or the donor.

6. Mechanisms

To understand how political connections affect the PE investment decisions of public pension funds, I explore potential mechanisms that might drive the main results of PE fund selection. First, in Section 6.1 I investigate whether state officials with more voting power show stronger connection-based investment patterns. Second, in Section 6.2, I compare the effects by the degree of corruption in each state. To better understand the mechanisms underlying the underperformance of politically connected PE funds, I investigate the fund fees and home-biased portfolio allocations of connected PE funds in Section 6.3 and Section 6.4, respectively.

6.1 Heterogeneity in Board Representation

In this section, I consider the extent to which pension funds with greater representation of connected politicians are more likely to invest in the GPs associated with those politicians. To measure the degree of representation of connected politicians on public pension fund boards, I use the proportion of board members assigned or appointed by the election office that the connected politicians run for, relative to the total board size. For example, the Teachers' Retirement System of the State of Illinois (IL Teachers) has fifteen board members, with the governor of Illinois appointing seven of the members. Thus, the governor's representation on the pension board is 46.7% ($= \frac{7}{15}$). I assign this value to the variable $Ratio\{Appoint\}$ and zero to $Ratio\{Ex\ officio\}$ for the relationship between the Illinois governor and IL Teachers, since the governor appoints people to the public pension fund board. By contrast, for the New York

state comptroller, who serves as the sole trustee of the New York State Common Retirement Fund (NY Retirement), the representation measure is 100%. I assign a value of 1 to the variable *Ratio*{*Ex officio*} and zero to *Ratio*{*Appoint*} for the relationship between the New York comptroller and NY Retirement.

A potential concern is that this measure might not accurately proxy for connected politicians' actual influence: state officials tend to have more financial-industry experience than the average trustee,[16] and the career concerns of other board members might incentivize them to align with state officials' preferences (e.g., Pennacchi and Rastad (2011); Dyck, Manoel, and Morse (2022)). Previous papers nonetheless show that variation in board representation is correlated with heterogeneity in pension funds' investment decisions (e.g., Hochberg and Rauh (2013); Bradley, Pantzalis, and Yuan (2016); Andonov, Hochberg, and Rauh (2018)), so the measure remains a useful proxy even if it does not fully capture influence.

The formal authority of elected officials over individual commitments varies across systems. At the New York State Common Retirement Fund, the Comptroller is sole trustee and every investment receives his personal final approval,[17] and the North Carolina State Treasurer was similarly the sole fiduciary of the state retirement systems throughout my sample period.[18] The Minnesota State Board of Investment consists of four statewide elected officials and itself votes to authorize each private markets commitment.[19] By contrast, at the largest California systems, staff execute individual commitments under delegation limits set by the board's

[16] Andonov, Hochberg, and Rauh (2018) document that about 71.3% of trustees have experience in the finance industry, while about 80% of state-official-related trustees have such experience during the 1990 to 2001 period.

[17] N.Y. Retirement and Social Security Law §422; Office of the State Comptroller, "Our Responsibilities."

[18] N.C. Gen. Stat. §147-69.2. North Carolina replaced the sole-fiduciary model with a five-member investment authority effective 2026, after my sample ends.

[19] Minn. Stat. ch. 11A; State Board of Investment meeting materials record per-fund authorizing resolutions.

investment committee, on which the State Treasurer and Controller sit ex officio, so elected officials' influence operates through policy, delegation limits, and the largest commitments,[20] and the Teacher Retirement System of Texas seats no elected official at all, with all trustees appointed by the governor. The connection effect is concentrated among ex officio offices, whose holders sit on the board in person.

The intensive margin points in the same direction. Instead of indicators for whether the office holds or appoints a board seat, Table 6 measures board representation by the fraction of seats the office holds, *Ratio*{*Ex officio*} and *Ratio*{*Appoint*}, so that a sole trustee takes the value one and an office with one seat on a board of twelve takes 0.08. With linear or quadratic controls in the vote margin on each side of the threshold, the interaction for *Ratio*{*Ex officio*} is 0.52 to 0.76 at the ± 5 pp margin and 0.57 at ± 3 pp, significant at the 10% and 5% levels. The *Ratio*{*Appoint*} interactions are statistically indistinguishable from zero in every specification, whereas the appointment indicators in Panel B of Table 3 are smaller than the ex officio ones and only marginally significant. The magnitudes are large relative to the base rate. A one standard deviation increase in *Ratio*{*Ex officio*}, 0.037 in the ± 5 pp sample and 0.028 at ± 3 pp, raises the probability of a commitment by 1.6 pp to 2.8 pp, against unconditional investment rates of 0.5% and 0.6% in those samples. Because an ex officio office typically holds one seat on a board of nine to fifteen members, a median share of 0.09, the same estimates translate into 5 pp to 7 pp per seat, in line with the indicator estimates. The effect of a connection therefore scales with the connected official's own representation on the board rather than with the power to appoint others, which is what a channel running through the official's seat implies, whether the

[20] CalPERS Delegation Resolution No. 07-02-INV (2007) and subsequent private equity program policies; CalSTRS Investment Policy Statement §1.4. The delegation terms in place before 2007 are not publicly documented.

seat acts through a vote on each commitment, as at the sole-trustee and board-vote systems, or through policy and delegation limits, as at the large California systems.

6.2 Heterogeneity in State Corruption

Another potential determinant of the effect of political connections on public pension funds is the corrupt culture within a state. For instance, Dimmock, Gerken, and Graham (2018) show that corruption or fraudulent behaviors can be contagious among coworkers. Corruption events involving public officials may induce state officials who serve on pension boards to favor contributors in ways that distort the funds' investment decisions toward entities with political connections.

To examine whether the heterogeneity of states' corrupt culture has differential effects on the investment decisions of public pension funds, I employ two commonly used measures for the degree of state corruption (e.g., Glaeser and Saks (2006); Butler, Fauver, and Mortal (2009); Hochberg and Rauh (2013)). First, I use the annual number of federal convictions of public corruption per public employee in each state between 1990 and 2021, and define a state as high-corruption when the number is greater than or equal to the sample median. Second, I use the corruption index from Boylan and Long (2003), which is based on a 2003 survey in which statehouse reporters assessed the overall corruption of their state's officials on a scale from -3 (least corrupt) to 3 (most corrupt). Similarly, I define a state as high-corruption when its rank is greater than or equal to the sample median.[21]

Panel A of Table 7 displays the estimated treatment effects from Eq. (2) on the sample of states where convictions per public employee are above or equal to the sample median, with standard errors clustered at the state level. In close elections, GPs with

[21] For example, in certain years, the states of California, Florida, Georgia, Illinois, Ohio, and Pennsylvania appear on both lists of 'high-corruption' states based on the two versions of the corruption measures.

political connections have a 2.4 pp to 8.8 pp higher likelihood of receiving investments from the pension fund where the connected politician affects the board's composition, an economically significant magnitude relative to the unconditional mean of 0.6% to 1.1%, although the smallest estimate, at the ± 5 pp margin, is not statistically significant. The full sample of elections in column (1) shows no significant differences. In contrast, Panel B shows no statistically significant differences in below-median states.

However, a drawback of using the number of convictions is that it might also correlate with the governance characteristics of state governments (e.g., Goel and Nelson (2011)). For example, a higher number of convictions might imply that the state government has a better monitoring system to detect corrupt activities among public officers. Therefore, I also utilize a second measure of state-level corruption from the survey conducted by Boylan and Long (2003).

Using the survey-based index (Internet Appendix Table IA.7), connected GPs in states with an above-median corruption index are 1.6 pp more likely to receive investments in the full sample of elections and 2.6 pp to 9.1 pp more likely in close elections (against an unconditional average of 0.5% to 0.8%, while the intermediate ± 3 pp estimate is not statistically significant), with no significant differences in below-median states.

Under both measures, the connection effect is significant at some margins in above-median states and at none below the median. The results are consistent with connection-based investments being concentrated in environments with weaker norms against favoritism. I do not test the difference between the two groups of states, so I read the pattern as suggestive.

6.3 Heterogeneity in PE Fund Fees

A natural explanation for the underperformance is an excessive-fee channel, in which connected pension funds accept worse contractual terms.

I obtain carry rates (%) from Preqin, which are available for about a quarter of funds, covering 31% of the pension fund-fund observations at the ±5 pp margin, and estimate Eq. (4) for carry rates in Table 8. Funds of donating GPs charge carry rates similar to those of non-donating GPs, significantly higher only at the ±1 pp margin. Connection-based funds, by contrast, charge 2.0 pp to 2.3 pp more than the other funds of donating GPs at the ±5 pp margin, significant at the 1% level, and 1.8 pp more at the ±3 pp margin with pension fund fixed effects, against an unconditional mean of 19.8% and a standard deviation of about 3.5 pp. At the ±1 pp margin the point estimates, 0.5 pp to 1.0 pp, remain positive but are not statistically significant. Carry rates rarely vary across the funds of the same GP, so the premium reflects the funds that connected plans select rather than terms specific to the connected plan. Management fee rates from Preqin, available for a smaller subsample, show no difference (Internet Appendix Table IA.8).

The premium is concentrated where carry varies. Carry rates cluster at 20%, the rate charged by about three quarters of the funds of donating GPs and nine tenths of non-donor funds with fee data, and none of the connection-based funds with carry data charges less. Connection-based funds are more likely to charge more than 20%: about one sixth of them at any vote margin and half of those in the ±5 pp window, against about 5% of the other funds of donating GPs and of non-donor funds. The premium sits in venture and growth funds, where connection-based funds in the ±5 pp window charge 25% on average against about 21% for the other funds of donating GPs and 20% for non-donor funds, while buyout funds

charge 20% in every group. Hurdle rates, at about 8%, and management fee rates, at about 2%, do not differ across groups.[22]

The rate is set at the GP level. For every connection-based fund with carry data, the GP's other funds charge the same rate, and fewer than one GP in ten with two or more funds in the data varies the rate across its funds. The premium therefore reflects which GPs connected plans select, venture and growth managers charging carry above the 20% norm, rather than a markup specific to the connected plan, which fund-level terms could not reveal in any case (Begenau and Siriwardane (2024)).

The carry premium accounts for a small part of the return gap. On a gross return of about 21% per year, the level implied by the 16.8% mean net IRR of the funds in the performance sample at a 20% carry, 2 pp of additional carry is worth about 0.4 pp of net IRR per year, against the 4.2 pp to 7.1 pp gap of Table 4. The joint pattern of higher carry and lower net-of-fees performance is consistent with connected plans selecting funds with less favorable terms, and most of the gap remains a matter of selection.

6.4 Heterogeneity in Portfolio of Private Equity Funds

Another explanation for the underperformance is a 'local asset' channel, in which connected GPs deploy fund capital toward assets in the state of the connected politician. Hochberg and Rauh (2013) show that public pension funds overweight GPs located in their home state and that this home bias is negatively related to performance.

To measure the portfolio weight on the connected politician's state, I collect the portfolio companies of each PE fund from the Preqin portal, available for about 76% of the observations at the ± 5 pp margin, and define the *Home Asset Ratio* as the number of portfolio firms headquartered in the pension fund's state

[22] Shares and means are computed over funds with carry data in Preqin.

divided by the total number of portfolio firms at the GP-pension fund level.[23] Figure 4 shows that the ratio is negatively correlated with fund performance, consistent with Hochberg and Rauh (2013).

Table 9 estimates Eq. (4) for the *Home Asset Ratio*. Within the sample of donating GPs, funds whose GP's candidate narrowly won a board seat hold an additional 13 pp to 18 pp of portfolio firms in the pension fund's state, relative to other PE funds held by pension funds in the same state (columns (1), (3), and (5), with state fixed effects) and by the same pension fund (columns (2), (4), and (6), with pension fund fixed effects), against an unconditional mean of 6.2%. The pattern is consistent with a connection-based channel in the home bias documented by Hochberg and Rauh (2013), alongside economically targeted investment programs, and with, though it does not establish, a role for politicians' career incentives (Shleifer (1996); Pennacchi and Rastad (2011); Dyck, Manoel, and Morse (2022)).

The tilt shows the direction of the channel rather than its share of the return gap. The slope of net IRR on the *Home Asset Ratio*, with state, vintage, and fund type fixed effects, is -1.2 pp per unit of the ratio, with a standard error of 2.3 clustered by pension fund and 4.7 clustered by state, so the point estimate attributes about 0.2 pp of the 4.2 pp to 7.1 pp gap to the higher tilt of connected funds, while the state-clustered interval does not rule out about 2 pp. The fee and home-state channels are measured on different subsamples and are likely correlated, so their contributions cannot be added.

A benign reading is that pension funds favor local development and donating GPs are local. Internet Appendix Table IA.9 splits the funds of donating GPs by electoral outcome. Within state, vintage, and fund type cells, funds of donors to narrow losers

[23] For example, the Teacher Retirement System of Texas invested in TA XIII, a 2019 buyout fund of TA Associates with twenty-six portfolio firms, three of them headquartered in Texas, so the ratio is three divided by twenty-six, about 12%.

tilt toward the state by about as much as connected funds, 0.08 against 0.08 at the ± 5 pp margin, funds of donors to narrow winners without an ex officio seat by 0.06, and non-donating funds show no tilt. In the regression with additive fixed effects the connected tilt is larger, 0.22 against 0.08, but the within-cell comparison does not distinguish them. The tilt therefore marks the funds of donating GPs generally and cannot by itself rule out that pension funds favor local GPs for local-development reasons.

7. A Policy Test: SEC Rule 206(4)-5

If the connection-based investments I document run through campaign contributions, then a regulation that severs the link between contributions and pension mandates should eliminate the effect, whatever the official's reason for favoring the donor. SEC Rule 206(4)-5, adopted in 2010 with a compliance date in 2011, prohibits investment advisers from receiving compensation from a government client for two years after making a covered contribution to an official who can influence the selection of advisers, a definition that maps directly onto the elected offices that hold or appoint pension board seats in my setting. The rule is strict liability. It bars compensation after a contribution without regard to intent, which is the sense in which I use pay-to-play throughout.[24] The rule therefore provides a policy-based prediction: the effect of winning a board-linked office on connected GPs' commitments should attenuate for elections after 2011.

Table 10 presents this test. In elections before 2011, GPs connected to a winning candidate whose office confers a pension board seat are 6.1 pp more likely to receive a commitment from the corresponding pension fund. In elections after 2011, the point

[24]The adopting release (Release No. IA-3043, 2010) declined to add an intent element, noting that pay-to-play intent is difficult to prove. The rule exempts contributions of $350 or less to candidates the contributor can vote for and $150 otherwise, and, a limited number of times per year, contributions of $350 or less that are discovered within four months and returned within 60 days.

estimate is -0.7 pp, an economically negligible magnitude relative to the 6.1 pp pre-2011 effect, and the pooled interaction of the connection effect with the post-2011 indicator is -7.4 pp, with no connected winner receiving a commitment after 2011. Internet Appendix Table IA.10 reports the underlying investment rates by group, at the GP-candidate-pension fund level used throughout the selection analysis. Before 2011, 8.5% of the GP-candidate-pension fund observations in which the connected candidate won an office conferring a board seat result in a commitment. After 2011, the corresponding rate is zero. This pattern is consistent with a channel that runs through the contribution itself, because skill or local development motives should not respond to a rule that penalizes only compensated contribution relationships. The rule removes the contribution whether the official was rewarding a donor or had simply come to know one, so the test speaks to the channel rather than to intent.

Two caveats are in order. First, commitments decline in the later sample period for all groups, reflecting both market conditions and reporting lags in Preqin. Internet Appendix Table IA.10 therefore also reports the placebo groups: the commitment rate for connected winners falls from 8.5% before 2011 to zero after, while investment rates for GPs that donated to losing candidates and for GPs connected to offices other than ex officio board seats decline by between 18% and 86% after 2011, so the post-2011 absence of commitments among connected winners is consistent both with the rule binding and with the general decline. Second, the federal rule was not the first restriction of this kind. New York adopted a two-year contribution-linked investment ban in April 2009, the largest California systems adopted placement-agent reforms in 2009 and 2010, and the Dodd-Frank Act broadened the set of registered advisers in

2012.[25] Because these changes operate in the same direction, the wedge is consistent with the arrival of the pay-to-play regulatory regime rather than any single provision.

The attenuation after 2011 does not diminish the relevance of the question. The rule targets the observable marker of the connection rather than the connection itself: covered contributions and payments to unregulated placement agents fall within it, but gifts, charitable donations, and independent expenditures do not absent circumvention,[26] and close to half of the benefits in the Hevesi case, the luxury trips and the payments to a lobbyist, took such a non-contribution form. The conduct has persisted under the rule, with enforcement actions brought since 2014.[27] The estimates therefore price the unregulated regime, the magnitude at stake wherever comparable provisions are absent, unenforced, or out of reach, including public asset pools outside the rule's adviser-registration perimeter. That regime may return. Industry groups have repeatedly pressed the SEC to narrow the rule, and in September 2026 the Commission proposed rescinding it outright, citing those complaints.[28] The pre-2011 estimates indicate the magnitude at stake absent the rule.

[25]The commitment events in my estimation windows arise from elections held between 2002 and 2010, almost all of them in 2008 or earlier, before any of these reforms, although some commitments from the 2006 and 2008 terms postdate the state reforms.

[26]17 CFR §275.206(4)-5. The rule reaches covered associates' contributions to officials who can influence adviser selection and payments to unregulated third-party solicitors. Its anti-indirection clause captures gifts or donations used to circumvent the ban, but such conduct is harder to observe.

[27]In re TL Ventures Inc. (2014), the first action under the rule, involved advisory fees from Pennsylvania state and Philadelphia city pension clients within the two-year timeout. The January 2017 sweep settled with ten advisory firms, four advisers settled in September 2022, and Wayzata Investment Partners settled in April 2024 over a contribution to a Minnesota State Board of Investment member.

[28]Managed Funds Association, letter to the SEC Chairman, May 18, 2017; Investment Adviser Association, letters to the SEC, August 9, 2019, and May 1, 2025; SEC Release No. IA-6994, September 3, 2026, which states that market participants find the rule "burdensome, complex, and both lacks clarity and creates a de facto strict liability standard." Law360 (October 16, 2026) describes the proposal as following "years of industry advocacy and commissioner criticism."

8. Robustness

The main analysis treats close elections as approximately randomly assigned within a narrow window (Cattaneo, Frandsen, and Titiunik (2015)). A continuity-based regression discontinuity analysis around the threshold rests on the same assumption of no systematic sorting (Lee, Moretti, and Butler (2004); Lee (2008); Eggers et al. (2015)) and gives the same answer. Binned means of $\mathbb{1}\{Investment\}$ by margin of victory show a discontinuity at the threshold for state officials who influence the board composition and a much smaller one for offices without such influence (Figure IA.7). Local linear estimates following Calonico, Cattaneo, and Titiunik (2014) with mean square error-optimal bandwidths (Calonico, Cattaneo, and Farrell (2018)), their 75% and 125% variants, triangular and rectangular kernels, and the fixed effects of Eq. (2) put the discontinuity at 0.04 to 0.09 for offices with board influence and at most 0.01 for the other offices (Internet Appendix Table IA.11).

The selection effect is not a mechanical consequence of a larger PE allocation: annual PE allocation weights in the ten years after the election do not differ between connected and unconnected pension funds (Internet Appendix Table IA.12). The performance effect is not mean reversion: controlling for the net IRR of the GP's most recent prior fund leaves the interaction coefficient negative and significant in every specification, between -3.4 pp and -7.6 pp (Internet Appendix Table IA.2), in line with the weak persistence of buyout performance once fundraising-time information is conditioned on (Harris et al. (2023); Braun, Jenkinson, and Stoff (2017)). Most connection-based commitments renew existing LP-GP relationships (Sensoy, Wang, and Weisbach (2014); Korteweg, Panageas, and Systla (2026)), and among first-time relationships the underperformance is larger, between -11.1 pp and -13.5 pp (Internet Appendix Table IA.13).

Ideological alignment does not explain the results. Pension systems tilt toward asset managers of shared political ideology, and aligned selection predicts lower performance (Siriwardane, Tang, and Vallée (2025)). I score each GP with the donation-weighted ideology of the candidates it funds, using DIME recipient scores (Bonica (2014)), and match it to the partisan lean of each state. Controlling for alignment and its interaction with electoral outcomes leaves the selection and performance effects essentially unchanged, while alignment itself carries the negative performance association documented in prior work (Internet Appendix Tables IA.14 and IA.15).

Elections may be close for endogenous reasons, for example an incumbent presiding over a weak state economy whose local investments underperform for unrelated reasons. Classifying close races by the presence of an incumbent, Table 11 shows that the connection effect is concentrated in open-seat races, in which both candidates are newcomers and closeness cannot reflect an incumbent's record, with an effect of 7.3 pp, while the effect in incumbent races is small and insignificant, which does not fit the confound.

Excluding pension funds governed by a sole fiduciary leaves a selection effect of 4.7 pp (Internet Appendix Table IA.16), the effect is present for both gubernatorial and down-ballot offices with a larger but statistically indistinguishable estimate for down-ballot offices (Internet Appendix Table IA.17), and the roughly five percent of GPs that hedge by donating to both candidates, which the main analysis excludes, receive commitments at a higher rate than GPs that donated only to the winner or only to the loser (Internet Appendix Figure IA.8), consistent with hedged donations securing a connection to the winner regardless of the outcome.

The definition of the donating-GP pool does not drive the selection result either: GPs that donated only to candidates who lost a primary, and therefore never obtained a connection, enter the sample as unconnected donors in Internet

Appendix Table IA.18, and the connection effect is 4.1 pp to 4.2 pp against 4.6 pp in the same sample and specification without them, while the coefficient on *Winner* falls because primary-only donors receive commitments at a higher rate than the donors in the baseline sample.

9. Conclusion

Does political money steer public capital, and at what cost? I answer with evidence from close elections for state offices that hold or appoint seats on public pension boards, which assign political connections between GPs and pension funds quasi-randomly. GPs connected to a narrowly winning politician who joins the board are about ten times more likely to receive a commitment from that fund, and the funds selected this way underperform the other funds of donating GPs by 4 pp to 7 pp in net IRR, forgoing the selection premium that donating GPs otherwise deliver. The effect is not observed after the 2011 pay-to-play rule. The effect is concentrated among ex officio offices and in states with above-median corruption, and connected funds tilt toward the politician's home state. Together, the findings are consistent with connected politicians favoring donors over their fiduciary duty (Shleifer and Vishny (1993)).

The incidence is lopsided. A few thousand dollars in reported contributions raises the probability of a commitment of about $51 million by 4.7 pp, which is worth about $0.5 million in expected fee and carry revenue to the GP and about $1 million in expected value shortfall to the sponsor, and conditional on the commitment the shortfall runs from $1 million to $22 million depending on the benchmark. Because benefits are guaranteed, the cost falls on plan sponsors and taxpayers, as Andonov, Hochberg, and Rauh (2018) note for political board representation more broadly. The results on SEC Rule 206(4)-5 are consistent with a pay-to-play rule curtailing connection-based

commitments, and the pre-2011 experience documents what is at stake for the $5.4 trillion in assets held by public pension funds and the 33 million members they serve when such provisions are absent or unenforced.[29] After years of industry pressure to narrow the rule, the SEC proposed in September 2026 to rescind it.[30] The rule remains in force, and the pre-2011 estimates indicate the magnitude at stake absent it.

[29]Fiscal year 2024 totals of net market assets and total membership across the plans in the Public Plans Database, Center for Retirement Research at Boston College.

[30]Release No. IA-6994, September 3, 2026, File No. S7-2026-31, with comments due November 9, 2026. The release rests the proposal on feedback from market participants and cites the Managed Funds Association's 2017 letter and the Investment Adviser Association's 2019 and 2025 letters requesting that the rule be narrowed. Law360 (October 16, 2026) describes the proposal as following "years of industry advocacy and commissioner criticism."

References

Acemoglu, Daron, Simon Johnson, Amir Kermani, James Kwak, and Todd Mitton, 2016, The value of connections in turbulent times: Evidence from the united states, *Journal of Financial Economics* 121, 368–391.

Akey, Pat, 2015, Valuing changes in political networks: Evidence from campaign contributions to close congressional elections, *The Review of Financial Studies* 28, 3188–3223.

Andonov, Aleksandar, Matteo Bonetti, and Irina Stefanescu, 2025, Choosing pension fund investment consultants, Discussion Paper DP19962, CEPR.

Andonov, Aleksandar, Yael V Hochberg, and Joshua D Rauh, 2018, Political representation and governance: Evidence from the investment decisions of public pension funds, *The Journal of Finance* 73, 2041–2086.

Ansolabehere, Stephen, John M De Figueiredo, and James M Snyder Jr, 2003, Why is there so little money in us politics?, *Journal of Economic perspectives* 17, 105–130.

Bailey, Bronwyn, 2013, Long-term commitments: The interdependence of pension security and private equity, Private Equity Growth Capital Council, submission to the U.S. Senate Committee on Finance.

Barber, Brad M, Adair Morse, and Ayako Yasuda, 2021, Impact investing, *Journal of Financial Economics* 139, 162–185.

Begenau, Juliane, Claudia Robles-Garcia, Emil Siriwardane, and Lulu Wang, 2020, An empirical guide to investor-level private equity data from preqin, *Available at SSRN 3764895* .

Begenau, Juliane, and Emil Siriwardane, 2024, Fee variation in private equity, *Journal of Finance* 79, 1199–1247.

Bertrand, Marianne, Francis Kramarz, Antoinette Schoar, and David Thesmar, 2018, The cost of political connections, *Review of Finance* 22, 849–876.

Besley, Timothy, and Anne Case, 1995, Does electoral accountability affect economic policy choices? evidence from gubernatorial term limits, *Quarterly Journal of Economics* 110, 769–798.

Blanes i Vidal, Jordi, Mirko Draca, and Christian Fons-Rosen, 2012, Revolving door lobbyists, *American Economic Review* 102, 3731–3748.

Bonica, Adam, 2014, Mapping the ideological marketplace, *American Journal of Political Science* 58, 367–386.

Boylan, Richard T, and Cheryl X Long, 2003, Measuring public corruption in the american states: A survey of state house reporters, *State Politics & Policy Quarterly* 3, 420–438.

Bradley, Daniel, Christos Pantzalis, and Xiaojing Yuan, 2016, The influence of political bias in state pension funds, *Journal of Financial Economics* 119, 69–91.

Braun, Reiner, Tim Jenkinson, and Ingo Stoff, 2017, How persistent is private equity performance? evidence from deal-level data, *Journal of Financial Economics* 123, 273–291.

Brogaard, Jonathan, Matthew Denes, and Ran Duchin, 2021, Political influence and the renegotiation of government contracts, *The Review of Financial Studies* 34, 3095–3137.

Brown, Gregory W, Robert S Harris, Tim Jenkinson, Steven N Kaplan, and David T Robinson, 2015, What do different commercial data sets tell us about private equity performance?, *Available at SSRN 2706556* .

Brown, Jeffrey R, and Jiekun Huang, 2020, All the president's friends: Political access and firm value, *Journal of Financial Economics* 138, 415–431.

Brown, Jeffrey R, Joshua M Pollet, and Scott J Weisbenner, 2015, The in-state equity bias of state pension plans, Technical report, National Bureau of Economic Research.

Butler, Alexander W, Larry Fauver, and Sandra Mortal, 2009, Corruption, political connections, and municipal finance, *The Review of Financial Studies* 22, 2873–2905.

Calonico, Sebastian, Matias D Cattaneo, and Max H Farrell, 2018, On the effect of bias estimation on coverage accuracy in nonparametric inference, *Journal of the American Statistical Association* 113, 767–779.

Calonico, Sebastian, Matias D Cattaneo, and Rocio Titiunik, 2014, Robust nonparametric confidence intervals for regression-discontinuity designs, *Econometrica* 82, 2295–2326.

Cattaneo, Matias D, Brigham R Frandsen, and Rocio Titiunik, 2015, Randomization inference in the regression discontinuity design: An application to party advantages in the us senate, *Journal of Causal Inference* 3, 1–24.

Claessens, Stijn, Erik Feijen, and Luc Laeven, 2008, Political connections and preferential access to finance: The role of campaign contributions, *Journal of Financial Economics* 88, 554–580.

Clayton, William W., 2020, Public investors, private funds, and state law, *Baylor Law Review* 72, 294–334.

Clayton, William W., 2022, How public pension plans have shaped private equity, *Maryland Law Review* 81, 840.

Cohen, Lauren, Andrea Frazzini, and Christopher Malloy, 2008, The small world of investing: Board connections and mutual fund returns, *Journal of Political Economy* 116, 951–979.

Cooper, Michael J, Huseyin Gulen, and Alexei V Ovtchinnikov, 2010, Corporate political contributions and stock returns, *The Journal of Finance* 65, 687–724.

Coval, Joshua D, and Tobias J Moskowitz, 2001, The geography of investment: Informed trading and asset prices, *Journal of Political Economy* 109, 811–841.

Da Rin, Marco, and Ludovic Phalippou, 2017, The importance of size in private equity: Evidence from a survey of limited partners, *Journal of Financial Intermediation* 31, 64–76.

Dimmock, Stephen G, William C Gerken, and Nathaniel P Graham, 2018, Is fraud contagious? coworker influence on misconduct by financial advisors, *The Journal of Finance* 73, 1417–1450.

Dinç, I Serdar, 2005, Politicians and banks: Political influences on government-owned banks in emerging markets, *Journal of Financial Economics* 77, 453–479.

Do, Quoc-Anh, Yen Teik Lee, and Bang Dang Nguyen, 2015, Political connections and firm value: Evidence from the regression discontinuity design of close gubernatorial elections .

Dyck, Alexander, Paulo Manoel, and Adair Morse, 2022, Outraged by compensation: Implications for public pension performance, *The Review of Financial Studies* 35, 2928–2980.

Eggers, Andrew C, Anthony Fowler, Jens Hainmueller, Andrew B Hall, and James M Snyder Jr, 2015, On the validity of the regression discontinuity design for estimating electoral effects: New evidence from over 40,000 close races, *American Journal of Political Science* 59, 259–274.

Faccio, Mara, 2006, Politically connected firms, *American Economic Review* 96, 369–386.

Fisman, Raymond, 2001, Estimating the value of political connections, *American Economic Review* 91, 1095–1102.

Fowler, Anthony, Haritz Garro, and Jörg L Spenkuch, 2020, Quid pro quo? corporate returns to campaign contributions, *The Journal of Politics* 82, 844–858.

Frye, Timothy, and Andrei Shleifer, 1997, The invisible hand and the grabbing hand, *American Economic Review* 87, 354–358.

Fulmer, Sarah, April Knill, and Xiaoyun Yu, 2023, Negation of sanctions: The personal effect of political contributions, *Journal of Financial and Quantitative Analysis* 58, 2783–2819.

Glaeser, Edward L, and Raven E Saks, 2006, Corruption in america, *Journal of Public Economics* 90, 1053–1072.

Goel, Rajeev K, and Michael A Nelson, 2011, Measures of corruption and determinants of us corruption, *Economics of Governance* 12, 155–176.

Goldman, Eitan, Jörg Rocholl, and Jongil So, 2009, Do politically connected boards affect firm value?, *The Review of Financial Studies* 22, 2331–2360.

Gordon, Sanford C., Catherine Hafer, and Dimitri Landa, 2007, Consumption or investment? on motivations for political giving, *Journal of Politics* 69, 1057–1072.

Goyal, Amit, Sunil Wahal, and M Deniz Yavuz, 2024, Choosing investment managers, *Journal of Financial and Quantitative Analysis* 59, 3531–3563.

Gredil, Oleg R, Barry E Griffiths, and Rüdiger Stucke, 2023, Benchmarking private equity: The direct alpha method, *Journal of Corporate Finance* 81, 102360.

Gupta, Arpit, and Stijn Van Nieuwerburgh, 2021, Valuing private equity investments strip by strip, *The Journal of Finance* 76, 3255–3307.

Harris, Robert S, Tim Jenkinson, and Steven N Kaplan, 2014, Private equity performance: What do we know?, *The Journal of Finance* 69, 1851–1882.

Harris, Robert S, Tim Jenkinson, Steven N Kaplan, and Rüdiger Stucke, 2023, Has persistence persisted in private equity? evidence from buyout and venture capital funds, *Journal of Corporate Finance* 81, 102361.

Hess, David, 2005, Protecting and politicizing public pension fund assets: Empirical evidence on the effects of governance structures and practices, *UC Davis Law Review* 39, 187–224.

Hochberg, Yael V, and Joshua D Rauh, 2013, Local overweighting and underperformance: Evidence from limited partner private equity investments, *The Review of Financial Studies* 26, 403–451.

Hong, Harrison, Jeffrey D Kubik, and Jeremy C Stein, 2005, Thy neighbor's portfolio: Word-of-mouth effects in the holdings and trades of money managers, *The Journal of Finance* 60, 2801–2824.

Jayachandran, Seema, 2006, The jeffords effect, *The Journal of Law and Economics* 49, 397–425.

Kalla, Joshua L, and David E Broockman, 2016, Campaign contributions facilitate access to congressional officials: A randomized field experiment, *American Journal of Political Science* 60, 545–558.

Kaplan, Steven N, and Antoinette Schoar, 2005, Private equity performance: Returns, persistence, and capital flows, *The journal of finance* 60, 1791–1823.

Kaplan, Steven N, and Berk A Sensoy, 2015, Private equity performance: A survey, *Annual Review of Financial Economics* 7, 597–614.

Korteweg, Arthur, Stavros Panageas, and Anand Systla, 2026, Private equity for pension plans? evaluating private equity performance from an investor's perspective, *Journal of Financial Economics* 184, 104336.

Lee, David S, 2008, Randomized experiments from non-random selection in us house elections, *Journal of Econometrics* 142, 675–697.

Lee, David S, Enrico Moretti, and Matthew J Butler, 2004, Do voters affect or elect policies? evidence from the us house, *The Quarterly Journal of Economics* 119, 807–859.

Lerner, Josh, Jason Mao, Antoinette Schoar, and Nan R Zhang, 2022, Investing outside the box: Evidence from alternative vehicles in private equity, *Journal of Financial Economics* 143, 359–380.

Lerner, Josh, and Antoinette Schoar, 2004, The illiquidity puzzle: theory and evidence from private equity, *Journal of Financial Economics* 72, 3–40.

Levenshtein, Vladimir I, et al., 1966, Binary codes capable of correcting deletions, insertions, and reversals, in *Soviet Physics Doklady*, volume 10, 707–710, Soviet Union.

McGovern, Geoffrey, and Michael D Greenberg, 2014, Shining a light on state campaign finance, *RAND Corporation* .

Metrick, Andrew, and Ayako Yasuda, 2010, The economics of private equity funds, *The Review of Financial Studies* 23, 2303–2341.

Milyo, Jeffrey, David Primo, and Timothy Groseclose, 2000, Corporate pac campaign contributions in perspective, *Business and Politics* 2, 75–88.

Nguyen, Bang Dang, Quoc-Anh Do, Yen Teik Lee, and Kieu-Trang Nguyen, 2012, Out of sight, out of mind: The value of political connections in social networks, Working Paper.

Novy-Marx, Robert, and Joshua Rauh, 2011, Public pension promises: how big are they and what are they worth?, *The Journal of Finance* 66, 1211–1249.

Pennacchi, George, and Mahdi Rastad, 2011, Portfolio allocation for public pension funds, *Journal of Pension Economics & Finance* 10, 221–245.

Phalippou, Ludovic, and Oliver Gottschalg, 2009, The performance of private equity funds, *The Review of Financial Studies* 22, 1747–1776.

Schoenherr, David, 2019, Political connections and allocative distortions, *The Journal of Finance* 74, 543–586.

Sensoy, Berk A, Yingdi Wang, and Michael S Weisbach, 2014, Limited partner performance and the maturing of the private equity industry, *Journal of Financial Economics* 112, 320–343.

Shleifer, Andrei, 1996, Origins of bad policies: Control, corruption and confusion, *Rivista di Politica Economica* .

Shleifer, Andrei, and Robert W Vishny, 1993, Corruption, *The Quarterly Journal of Economics* 108, 599–617.

Shleifer, Andrei, and Robert W Vishny, 1994, Politicians and firms, *The Quarterly Journal of Economics* 109, 995–1025.

Siriwardane, Emil, Johnny Tang, and Boris Vallée, 2025, Partisan portfolios, Working Paper, Harvard Business School.

Snyder, James M., 1990, Campaign contributions as investments: The u.s. house of representatives, 1980–1986, *Journal of Political Economy* 98, 1195–1227.

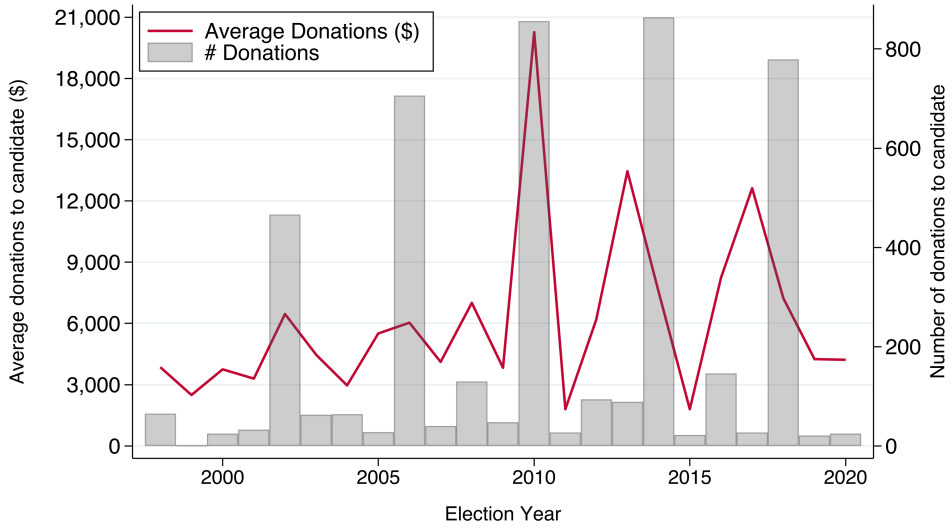
Stratmann, Thomas, 1992, Are contributions rational? untangling strategies of political action committees, *Journal of Political Economy* 100, 647–664.

Ware, Alan, 2002, *The American direct primary: party institutionalization and transformation in the North* (Cambridge University Press).

Figure 1. Time series and distributions of political contributions

Panel (A) presents the average donation (left y-axis) and the number of donations (right y-axis) made by GPs to state election candidates over time. Panel (B) illustrates the distribution of state election candidates receiving donations from GPs using a pie chart, categorized by office type.

(a) Average donations to election by GPs by year



(b) Distributions of offices under contributions from GPs

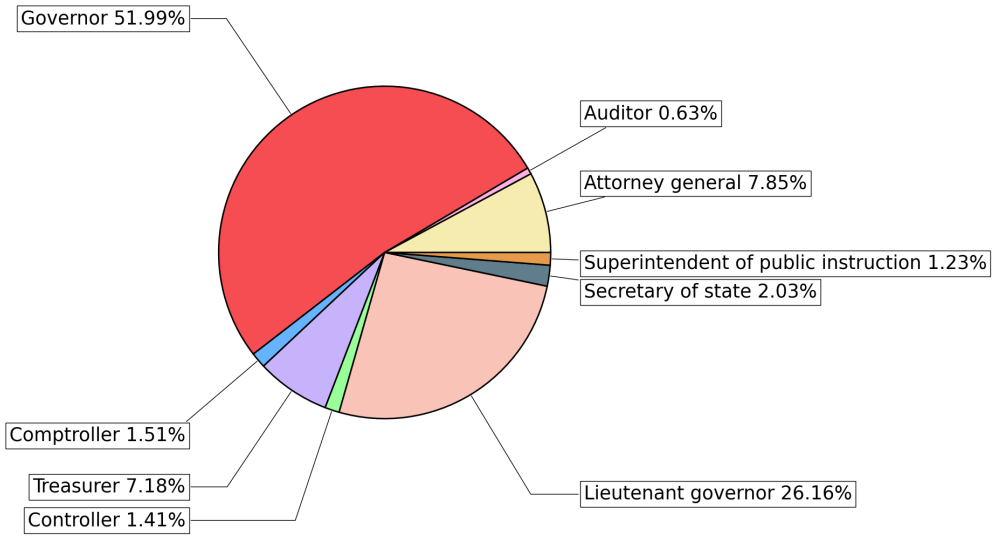
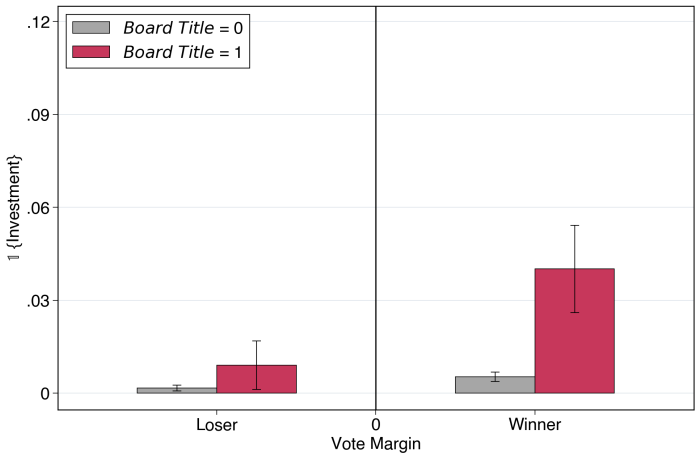


Figure 2. Investment decisions by board membership

This figure plots the average values of $\mathbb{1}\{Investment\}$ variable with 95 percent confidence intervals. When calculating group means, I split candidates by *Winner* variable. For each *Winner* group, I then split observations by $\mathbb{1}\{Board\ Title\}$ group, defined in Section 3. Among the bars positioned above or below the zero vote margin, the right bar represents the office position that either appoints or is assigned as a pension board member, while the left bar represents all other cases. Panel (A), (B), and (C) present values for close elections with vote margins of 5 pp, 3 pp, and 1 pp, respectively.

(a) Vote margin = (-5 pp, +5 pp)



(b) Vote margin = (-3 pp, +3 pp)

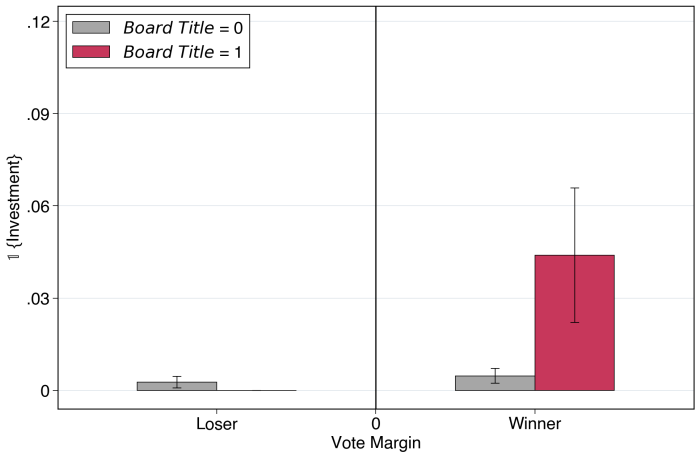


Figure 2. Investment decisions by board membership (continued)

(c) Vote margin = (-1 pp, +1 pp)

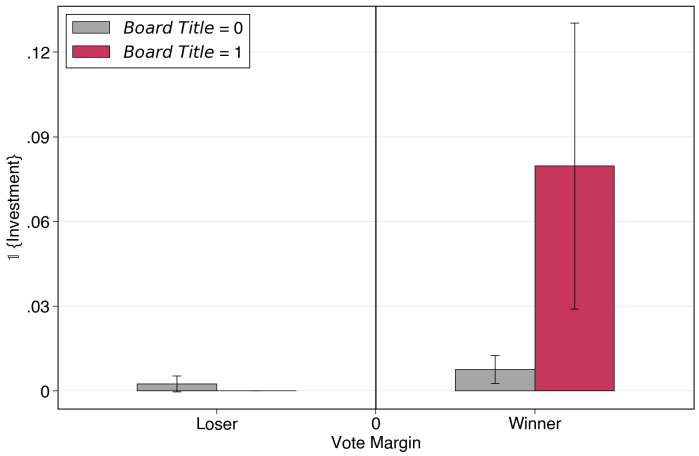
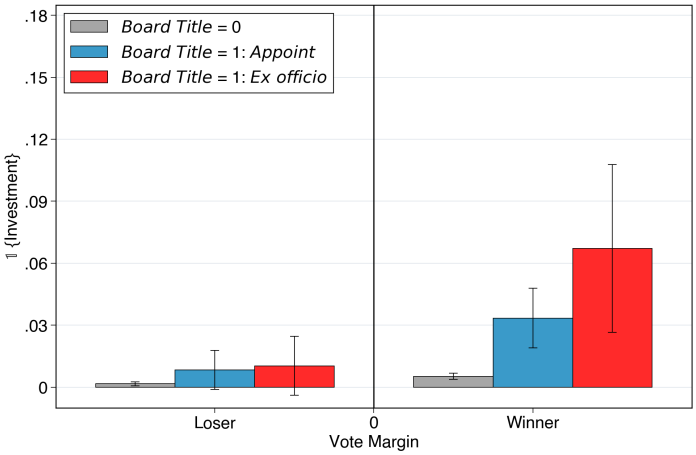


Figure 3. Investment decisions by office group

This figure plots the average values of $\mathbb{1}\{Investment\}$ variable with 95 percent confidence intervals. When calculating group means, I split candidates by *Winner* variable. For each *Winner* group, I then split observations by $\mathbb{1}\{Board\ Title\}$ group, defined in Section 3. Among the bars positioned above or below the zero vote margin, the rightmost bar represents the office position that is assigned as a pension board member, and the middle bar represents positions that appoint a board member. The leftmost bar represents all other cases. Panel (A), (B), and (C) present values for close elections with vote margins of 5 pp, 3 pp, and 1 pp, respectively.

(a) Vote margin = (-5 pp, +5 pp)



(b) Vote margin = (-3 pp, +3 pp)

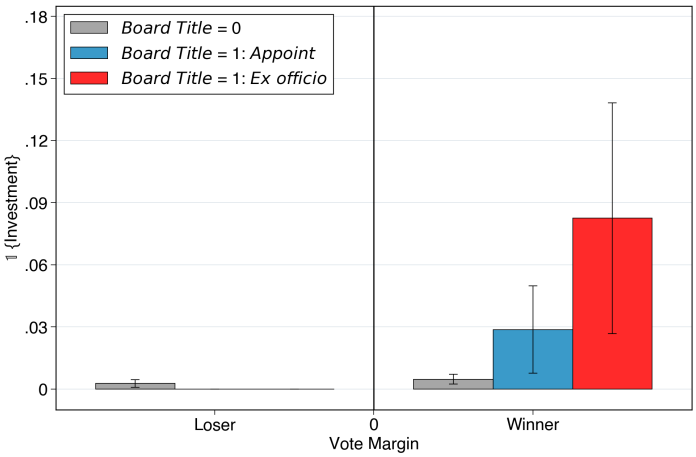


Figure 3. Investment decisions by office group (continued)

(c) Vote margin = (-1 pp, +1 pp)

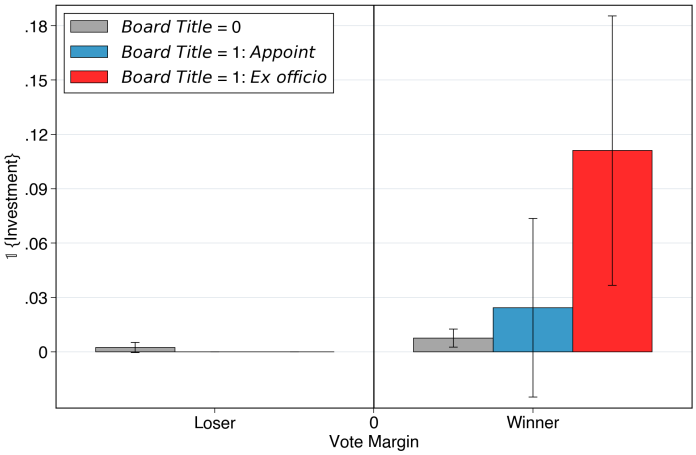


Figure 4. Local assets and performance

This figure shows the average net IRR (%) of PE funds, by the *Home Asset Ratio* value, which is defined as the number of portfolio firms located at the given pension fund's home state divided by the total number of portfolio firms at the given public pension fund - PE fund observation level.

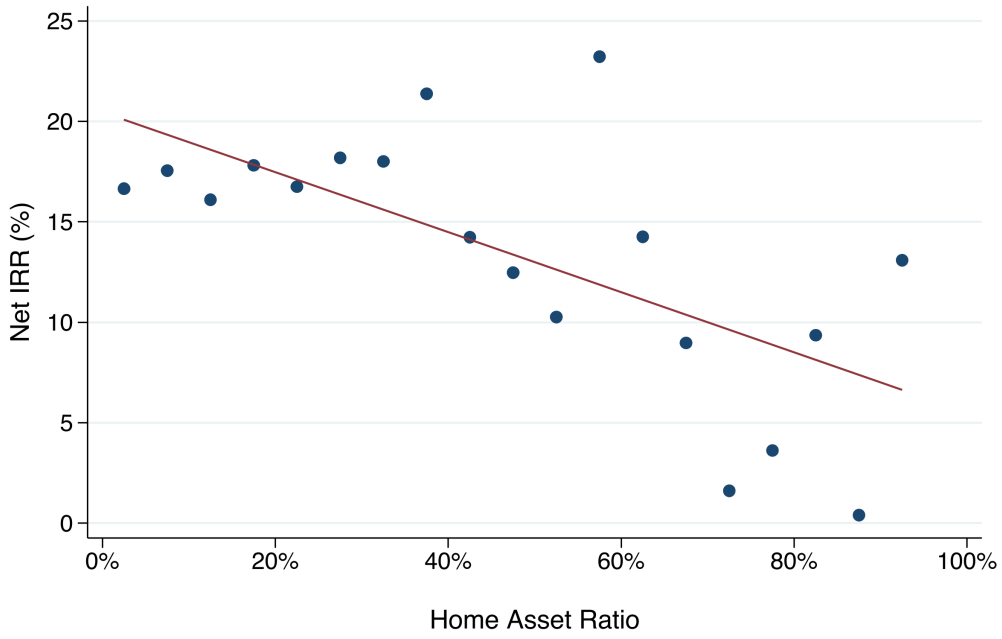


Table 1. Summary statistics

This table provides the summary statistics for state elections from 1998 to 2022 and the PE commitments of U.S. public pension funds over the same period. *Contribution* is the amount of a political contribution from a GP to a candidate. $\mathbb{1}\{Investment\}$ is an indicator variable equal to 1 if the GP receives a commitment from the pension fund during the upcoming office term. $\mathbb{1}\{Board\ Title\}$ is an indicator equal to 1 if the office the candidate seeks holds or appoints a seat on the pension fund board. $\mathbb{1}\{Ex\ officio\}$ is an indicator equal to 1 if the office holds a seat in person. $\mathbb{1}\{Appoint\}$ is an indicator equal to 1 if the office appoints a board member. $Ratio\{Ex\ officio\}$ is the ratio of the number of board members that the title of election is assigned as to the total number of board members. $Ratio\{Appoint\}$ is the ratio of the number of board members that the title of election can appoint to the total number of board members. *Winner* is an indicator equal to 1 if the candidate wins the election. *Net IRR* is measured using net of fees IRR. *Carry rates* are calculated as a percentage of committed capital. *Plan Funded Ratio* is ratio of a public pension fund's actuarial assets to its actuarial liabilities and *Plan Investment Return* is the annual investment return of public pension funds during the previous five years before the given election year. *GP Age* is the difference between the year and establishment year of the GP. *GP AUM* is the aggregate size of PE funds raised during the previous five years. # *Buyout Funds* is the number of buyout funds raised by the GP in the five years before the election. *Home GP* is an indicator equal to 1 if the GP is located in the same state as the election state. Panel A, B, and C show the statistics for state elections of (-5 pp,+5 pp), (-3 pp,+3 pp), and (-1 pp,+1 pp) of vote margin, respectively.

	Mean	Median	Sd	N
Panel A: Vote margin of (–5 pp, +5 pp)				
GP-Candidate-Pension-Election Level				
Contribution ($)	6,949.617	2,000.000	21,905.507	16,851
$\mathbb{1}\{Investment\}$	0.005	0.000	0.073	16,851
$\mathbb{1}\{Board\ Title\}$	0.077	0.000	0.267	16,851
$\mathbb{1}\{Ex\ officio\}$	0.020	0.000	0.141	16,851
$\mathbb{1}\{Appoint\}$	0.057	0.000	0.232	16,851
$Ratio\{Ex\ officio\}$	0.003	0.000	0.037	16,851
$Ratio\{Appoint\}$	0.028	0.000	0.129	16,851
Winner	0.556	1.000	0.497	16,851
Pension-GP-PE fund Level				
Net IRR (%)	16.826	15.155	15.720	11,232
Home Asset Ratio	0.062	0.000	0.142	14,579
Carry Rate (%)	19.762	20.000	3.491	5,812
GP-Candidate-Pension-Year Level				
Plan Funded Ratio	0.722	0.756	0.182	104,855
Plan Investment Return	0.079	0.077	0.103	70,089
GP-Candidate-Election Level				
GP Age	18.974	15.000	20.396	1,024
GP AUM ($mil)	371.056	0.000	1,435.893	1,088
# Buyout Funds (past 5 years)	0.200	0.000	0.559	1,144
Home GP	0.399	0.000	0.490	1,144

Table 1. Summary statistics (continued)

	Mean	Median	Sd	N
Panel B: Vote margin of (–3 pp, +3 pp)				
GP-Candidate-Pension-Election Level				
Contribution ($)	5,424.687	1,800.000	22,944.195	6,788
$\mathbb{1}\{Investment\}$	0.006	0.000	0.075	6,788
$\mathbb{1}\{Board\ Title\}$	0.091	0.000	0.288	6,788
$\mathbb{1}\{Ex\ officio\}$	0.031	0.000	0.172	6,788
$\mathbb{1}\{Appoint\}$	0.060	0.000	0.238	6,788
$Ratio\{Ex\ officio\}$	0.004	0.000	0.028	6,788
$Ratio\{Appoint\}$	0.031	0.000	0.141	6,788
Winner	0.518	1.000	0.500	6,788
Pension-GP-PE fund Level				
Net IRR (%)	16.828	15.200	15.727	11,200
Home Asset Ratio	0.062	0.000	0.142	14,541
Carry Rate (%)	19.761	20.000	3.493	5,805
GP-Candidate-Pension-Year Level				
Plan Funded Ratio	0.743	0.765	0.160	51,454
Plan Investment Return	0.081	0.075	0.100	33,584
GP-Candidate-Election Level				
GP Age	18.322	13.000	19.398	469
GP AUM ($mil)	317.461	0.000	879.044	497
# Buyout Funds (past 5 years)	0.182	0.000	0.471	522
Home GP	0.387	0.000	0.488	522
Panel C: Vote margin of (–1 pp, +1 pp)				
GP-Candidate-Pension-Election Level				
Contribution ($)	4,000.636	2,000.000	6,678.503	2,598
$\mathbb{1}\{Investment\}$	0.008	0.000	0.090	2,598
$\mathbb{1}\{Board\ Title\}$	0.078	0.000	0.268	2,598
$\mathbb{1}\{Ex\ officio\}$	0.033	0.000	0.179	2,598
$\mathbb{1}\{Appoint\}$	0.045	0.000	0.207	2,598
$Ratio\{Ex\ officio\}$	0.004	0.000	0.025	2,598
$Ratio\{Appoint\}$	0.023	0.000	0.112	2,598
Winner	0.498	0.000	0.500	2,598
Pension-GP-PE fund Level				
Net IRR (%)	16.827	15.200	15.728	11,197
Home Asset Ratio	0.062	0.000	0.142	14,519
Carry Rate (%)	19.761	20.000	3.495	5,799
GP-Candidate-Pension-Year Level				
Plan Funded Ratio	0.745	0.773	0.179	35,374
Plan Investment Return	0.083	0.084	0.099	22,258
GP-Candidate-Election Level				
GP Age	17.384	14.000	17.285	219
GP AUM ($mil)	316.613	0.000	823.080	238
# Buyout Funds (past 5 years)	0.235	0.000	0.527	247
Home GP	0.510	1.000	0.501	247

Table 2. Differences in characteristics of GPs and pension funds

This table reports, with each entry from a separate regression, the main coefficients (β_1) from the estimation of Eq. (1) on predetermined observables. *Plan Funded Ratio* is ratio of a public pension fund's actuarial assets to its actuarial liabilities and *Plan Investment Return* is the annual investment return of public pension funds during the previous five years before the given election year. *GP Age* is the difference between the year and establishment year of the GP. *GP AUM* is the aggregate size of PE funds raised during the previous five years. # *Buyout Funds* is the number of buyout funds raised by the GP in the five years before the election. *Home GP* is an indicator equal to 1 if the GP is located in the same state as the election state. *Prior LP Relationship* is an indicator equal to 1 if a public pension fund in the election state committed to a fund of the GP during the office term preceding the election. *GP Past Performance* is the net IRR of the GP's most recent prior fund. Column (1) uses full sample of state elections. For the specifications on *GP AUM* and *GP Age*, I use Poisson regression models. Columns (2), (3), and (4) use state elections of vote margin $\pm$5 pp, $\pm$3 pp, and $\pm$1 pp, respectively. Standard errors are clustered at the state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Vote Margin:	Full sample	(–5 pp, +5 pp)	(–3 pp, +3 pp)	(–1 pp, +1 pp)
	(1)	(2)	(3)	(4)
GP AUM	-0.109	0.555*	-0.051	-0.148
	(0.126)	(0.330)	(0.295)	(0.324)
GP Age	0.015	0.004	-0.136	-0.140
	(0.057)	(0.116)	(0.190)	(0.225)
# Buyout Funds (past 5 years)	-0.037*	0.043	-0.111*	-0.077
	(0.021)	(0.060)	(0.059)	(0.068)
Home GP	0.015	-0.016	0.027	0.004
	(0.037)	(0.049)	(0.052)	(0.074)
Prior LP Relationship	-0.001	0.084	-0.021	0.005
	(0.023)	(0.051)	(0.031)	(0.042)
GP Past Performance	0.120	0.730	-15.138**	-12.347
	(1.513)	(7.478)	(6.601)	(15.776)
Plan Investment Return	0.001	0.005*	-0.001	0.001
	(0.001)	(0.003)	(0.004)	(0.002)
Plan Funded Ratio	0.003	0.006	0.006	-0.005
	(0.006)	(0.006)	(0.008)	(0.005)

Table 3. Investment decisions by board membership

Panel A of this table presents coefficient estimates from Eq. (2) in close state elections at various vote margins. Panel B presents coefficient estimates from Eq. (3). $\mathbb{1}\{Investment\}$ is an indicator equal to 1 if the GP receives a commitment from the pension fund during the upcoming office term. *Winner* is an indicator equal to 1 if the candidate wins the election. $\mathbb{1}\{Board\ Title\}$ is an indicator equal to 1 if the office the candidate seeks holds or appoints a seat on the pension fund board. $\mathbb{1}\{Ex\ officio\}$ is an indicator equal to 1 if the office holds a seat in person. $\mathbb{1}\{Appoint\}$ is an indicator equal to 1 if the office appoints a board member. Standard errors are clustered at state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	$\mathbb{1}\{$Investment$\}$			
Vote Margin:	Full sample	(–5 pp, +5 pp)	(–3 pp, +3 pp)	(–1 pp, +1 pp)
	(1)	(2)	(3)	(4)
Panel A: Effects of $\mathbb{1}\{$Board Title$\}$				
Winner	0.000	0.007***	0.002	-0.004
	(0.001)	(0.002)	(0.002)	(0.005)
Winner × $\mathbb{1}\{Board\ Title\}$	0.006	0.030**	0.045**	0.079***
	(0.008)	(0.014)	(0.020)	(0.019)
$\mathbb{1}\{Board\ Title\}$	0.021***	0.009*	-0.001	0.009
	(0.006)	(0.005)	(0.004)	(0.010)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	±5	±3	±1
R^2	0.015	0.021	0.026	0.046
Observations	60,860	16,851	6,785	2,594
Dep. Var. Mean	.008	.005	.006	.008

Table 3. Investment decisions by board membership (continued)

Dependent Variable:	𝟙{Investment}			
Vote Margin:	Full sample	(–5 pp, +5 pp)	(–3 pp, +3 pp)	(–1 pp, +1 pp)
	(1)	(2)	(3)	(4)
Panel B: Heterogeneity in 𝟙{Board Title}				
Winner	0.000	0.006***	0.002	-0.001
	(0.001)	(0.002)	(0.002)	(0.004)
Winner × 𝟙{*Ex officio*} (β_1)	0.033**	0.047**	0.078***	0.104***
	(0.013)	(0.020)	(0.026)	(0.008)
Winner × 𝟙{*Appoint*} (β_2)	-0.003	0.025*	0.029*	0.035
	(0.005)	(0.013)	(0.014)	(0.035)
𝟙{*Ex officio*}	0.015***	0.009***	-0.001	-0.003**
	(0.003)	(0.003)	(0.003)	(0.001)
𝟙{*Appoint*}	0.023***	0.008	-0.004	0.003
	(0.008)	(0.007)	(0.006)	(0.008)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	±5	±3	±1
F-test $\beta_1 = \beta_2$, p-value	0.017	0.304	0.099	0.082
R^2	0.016	0.022	0.031	0.049
Observations	60,860	16,851	6,785	2,594
Dep. Var. Mean	.008	.005	.006	.008

Table 4. Performance of PE funds

This table presents coefficient estimates from Eq. (4) on the performance of PE funds in close state elections. Panel A reports net IRR (%) at various vote margins. Panel B reports market-adjusted performance measures computed from fund-level cashflows: the total value to paid-in multiple (TVPI), the Kaplan-Schoar public market equivalent (KS-PME), its natural logarithm, and the direct alpha (% per year) of Gredil, Griffiths, and Stucke (2023), using the CRSP value-weighted market return as the benchmark. Direct alpha is computed for funds that are resolved or have at least five years of cashflows and ten distributions, and all Panel B outcomes are winsorized at the 1st and 99th percentiles. $\mathbb{1}\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $\mathbb{1}\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Panel A: Net internal rate of return (%)

Dependent Variable:	Net IRR (%)							
	Full sample		(–5 pp, +5 pp)		(–3 pp, +3 pp)		(–1 pp, +1 pp)	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
$\mathbb{1}\{Donated\}$	1.584	1.776*	7.033***	6.875***	8.507***	7.850***	8.852***	8.034***
	(1.092)	(1.043)	(1.935)	(1.893)	(2.134)	(1.929)	(1.922)	(1.712)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connected\}$	-0.964	-0.455	-5.745***	-4.229***	-6.723***	-4.606**	-7.061***	-4.784**
	(2.096)	(2.366)	(1.639)	(1.479)	(2.369)	(2.209)	(2.171)	(1.991)
State FE	Yes	No	Yes	No	Yes	No	Yes	No
Pension FE	No	Yes	No	Yes	No	Yes	No	Yes
Vintage FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Bandwidth(Donated)	Full	Full	±5	±5	±3	±3	±1	±1
R^2	0.281	0.295	0.283	0.298	0.284	0.298	0.284	0.298
Observations	11,457	11,427	11,231	11,200	11,199	11,168	11,196	11,165
Raw Dep. Var. Mean	16.761	16.761	16.826	16.826	16.828	16.828	16.827	16.827

Panel B: Market-adjusted performance

Dependent Variable:	TVPI	KS-PME	ln KS-PME	D.Alpha	TVPI	KS-PME	ln KS-PME	D.Alpha
Vote Margin:	(–5 pp, +5 pp)				(–3 pp, +3 pp)			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
$\mathbb{1}\{Donated\}$	0.210**	0.198***	0.160***	5.678***	0.085	0.053	0.055	7.377***
	(0.085)	(0.057)	(0.047)	(2.045)	(0.132)	(0.097)	(0.080)	(1.639)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connected\}$	-0.424***	-0.318***	-0.308***	-6.164***	-0.272*	-0.159	-0.193**	-6.955***
	(0.066)	(0.052)	(0.043)	(1.683)	(0.142)	(0.096)	(0.075)	(1.803)
State FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Vintage FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Bandwidth(Donated)	±5	±5	±5	±5	±3	±3	±3	±3
R^2	0.163	0.098	0.113	0.144	0.163	0.097	0.113	0.144
Observations	12,982	12,983	12,969	7,860	12,950	12,951	12,937	7,832
Dep. Var. Mean	1.68	1.083	.014	1.474	1.679	1.082	.014	1.462

Table 5. Costs and benefits of a connection

This table reports the economic magnitudes of a connection in three panels. Panel A lists the inputs, their parameter symbols, and their sources. Panel B applies the inputs to the mean connection-based commitment K, conditional on a commitment and in expectation per connection, which multiplies the per-commitment value v by β, and Panel C reports ratios. Fee and carry revenue applies 23.5% of the commitment for venture and growth funds and 19.4% for buyout and other funds, so ϕK is the mean over connection-based commitments. Ranges for the cash-flow rows span all connection-based commitments and the ± 5 pp window, and the hidden price spans the interquartile range of transfers in prosecuted cases. One commitment missing in Preqin is set to the $30 million documented in the enforcement settlement that covers it.

Panel A: Inputs

Input	Parameter	Value	Source
Contribution per GP-candidate pair, median ($)	c	2,625	FollowTheMoney
Connection effect on commitment probability	β	0.047	Table 3, Panel B, column (2)
Mean commitment ($ million)	K	51.3	Table IA.4
Fee and carry revenue, share of commitment	ϕ	0.194–0.235	Metrick and Yasuda (2010)
Net IRR gap, per year	Δr	0.042–0.071	Table 4, Panel A
TVPI gap	ΔM	0.42	Table 4, Panel B
Loss per dollar paid in vs. donating-GP funds	ℓ_D	0.18–0.20	Table IA.5
Loss per dollar paid in vs. non-donor funds	ℓ_N	0.03–0.06	Table IA.5
Hidden price, share of investment secured	π	0.0039–0.0118	Table IA.6

Panel B: Implied magnitudes ($ million)

Outcome	Computation	Per commitment (v)	Per connection ($\beta \times v$)
Fee and carry revenue	$\phi \times K$	10.80	0.51
Forgone return per year, upper bound	$\Delta r \times K$	2.15–3.64	0.10–0.17
Value shortfall over the fund's life	$\Delta M \times K$	21.7	1.02
Cash-flow loss vs. funds of donating GPs	$\ell_D \times K$	9.3–10.1	0.44–0.47
Cash-flow loss vs. non-donor funds	$\ell_N \times K$	1.8–2.9	0.08–0.14
Hidden price	$\pi \times K$	0.20–0.61	

Panel C: Ratios

Ratio	Computation	Value
Expected fee and carry revenue to contribution	$\beta \times \phi \times K/c$	193
Expected value shortfall to contribution	$\beta \times \Delta M \times K/c$	389
Hidden price to contribution	$\pi \times K/c$	76–231
Hidden price to fee and carry revenue (%)	π/ϕ	1.9–5.6
Hidden price to value shortfall (%)	$\pi/\Delta M$	0.9–2.8

Table 6. Investment decisions by board membership: intensive margin

This table presents coefficient estimates from Eq. (3) on $\mathbb{1}\{Investment\}$ at various close state elections of vote margins, using *Ratio*{*Ex officio*} and *Ratio*{*Appoint*}. All columns include state and election year fixed effects. Columns (1) to (5) add linear or quadratic controls in the vote margin on each side of the threshold, interacted with each regressor, and columns (6) and (7) do not. *Ratio*{*Ex officio*} is the ratio of the number of board members that the title of election is assigned as to the total number of board members. *Ratio*{*Appoint*} is the ratio of the number of board members that the title of election can appoint to the total number of board members. Standard errors are clustered at the state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	$\mathbb{1}\{$Investment$\}$						
	Full sample		(–5 pp, +5 pp)		(–3 pp, +3 pp)		(–1 pp, +1 pp)
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Winner	0.002	0.007**	-0.001	-0.009*	0.003	0.004**	0.002
	(0.003)	(0.003)	(0.003)	(0.005)	(0.005)	(0.002)	(0.004)
Winner × *Ratio*{*Ex officio*}	0.079	0.206*	0.521*	0.759*	0.571**	0.222	0.611*
	(0.100)	(0.108)	(0.298)	(0.376)	(0.247)	(0.191)	(0.312)
Winner × *Ratio*{*Appoint*}	-0.006	-0.007	-0.027	0.110	-0.021	0.022	0.014
	(0.020)	(0.022)	(0.035)	(0.071)	(0.035)	(0.023)	(0.019)
Ratio{*Ex officio*}	0.087***	0.064	-0.059	-0.037	0.228	0.123	0.020
	(0.025)	(0.093)	(0.054)	(0.066)	(0.175)	(0.106)	(0.030)
Ratio{*Appoint*}	0.032*	0.016	-0.014	-0.024	-0.007	-0.006	-0.002
	(0.016)	(0.019)	(0.014)	(0.035)	(0.014)	(0.011)	(0.007)
Running variable	Yes	Yes	Yes	Yes	Yes	No	No
Functional form	Linear	Quadratic	Linear	Quadratic	Linear		
Bandwidth (pp)	Full	Full	±5	±5	±3	±3	±1
R^2	0.012	0.013	0.021	0.025	0.028	0.020	0.035
Observations	60,860	60,860	16,851	16,851	6,785	6,785	2,594

Table 7. Investment decisions by state corruption convictions

This table presents coefficient estimates from Eq. (2) on $\mathbb{1}\{Investment\}$ at various close state elections of vote margins. The regressions for Panel A use the subsample of states where the state-year level number of public corruption conviction per public employees is equal or above the sample median. The regressions for Panel B use the subsample of states where the state-year level number of public corruption conviction per public employees is lower than the sample median. Standard errors are clustered at the state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	$\mathbb{1}\{$Investment$\}$			
Vote Margin:	Full sample	(–5 pp, +5 pp)	(–3 pp, +3 pp)	(–1 pp, +1 pp)
	(1)	(2)	(3)	(4)
Panel A: States of High # Convictions of Public Corruption				
Winner	0.001	0.010***	0.001	-0.003
	(0.002)	(0.003)	(0.002)	(0.007)
Winner × $\mathbb{1}\{$*Board Title*$\}$	0.007	0.024	0.037*	0.088**
	(0.011)	(0.015)	(0.020)	(0.023)
$\mathbb{1}\{$*Board Title*$\}$	0.023***	0.014**	0.004	0.009
	(0.008)	(0.006)	(0.007)	(0.019)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	±5	±3	±1
R^2	0.021	0.021	0.020	0.041
Observations	38,852	10,171	4,541	1,623
Dep. Var. Mean	.009	.006	.006	.011
Panel B: States of Low # Convictions of Public Corruption				
Winner	-0.000	0.005**	0.007	0.000
	(0.002)	(0.002)	(0.007)	(0.003)
Winner × $\mathbb{1}\{$*Board Title*$\}$	0.003	0.032	0.037	0.035
	(0.007)	(0.024)	(0.026)	(0.024)
$\mathbb{1}\{$*Board Title*$\}$	0.018***	0.005	-0.000	0.004
	(0.005)	(0.008)	(0.003)	(0.004)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	±5	±3	±1
R^2	0.014	0.075	0.129	0.080
Observations	21,997	6,678	2,243	970
Dep. Var. Mean	.006	.004	.004	.003

Table 8. Fees of connection-based PE funds

This table presents coefficient estimates from Eq. (4) on the carry rates (%) of PE funds at various close state elections of votes margin. $\mathbb{1}\{Donated\}$ is a dummy variable equal to one if the PE fund is under management of GP who made political contribution to candidate running at close state election, and zero otherwise. The $\mathbb{1}\{Connected\}$ is equal to one if the politician that GP donated in close state elections sits at the board of public pension as a result of the electoral outcome. Standard errors are clustered at the state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	Carry Rate (%)					
	(–5 pp, +5 pp)		(–3 pp, +3 pp)		(–1 pp, +1 pp)	
	(1)	(2)	(3)	(4)	(5)	(6)
$\mathbb{1}\{Donated\}$	0.192	0.230	0.836	0.802	1.724*	1.646*
	(0.470)	(0.453)	(0.719)	(0.668)	(0.917)	(0.910)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connected\}$	2.029***	2.349***	1.397	1.780**	0.535	0.956
	(0.666)	(0.617)	(0.863)	(0.788)	(1.016)	(0.994)
State FE	Yes	No	Yes	No	Yes	No
Pension FE	No	Yes	No	Yes	No	Yes
Vintage FE	Yes	Yes	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes	Yes	Yes
Bandwidth(Donated)	±5	±5	±3	±3	±1	±1
R^2	0.520	0.526	0.520	0.526	0.520	0.527
Observations	5,817	5,776	5,810	5,769	5,804	5,763
Raw Dep. Var. Mean	19.768	19.768	19.768	19.768	19.768	19.768

Table 9. Home-state portfolio firms of connection-based PE funds

This table presents coefficient estimates from Eq. (4) on *Home Asset Ratio* value of PE funds at various close state elections of votes margin. The *Home Asset Ratio* is the ratio of local assets as the number of portfolio firms located at the given pension fund's home state divided by the total number of portfolio firms at the given GP-public pension fund observation level. $\mathbb{1}\{Donated\}$ is a dummy variable equal to one if the PE fund is under management of GP who made political contribution to candidate running at close state elections, and zero otherwise. The $\mathbb{1}\{Connected\}$ is equal to one if the politician that GP donated in close state elections sits at the board of public pension as a result of the electoral outcome. Standard errors are clustered at state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	*Home Asset Ratio*					
	(–5 pp, +5 pp)		(–3 pp, +3 pp)		(–1 pp, +1 pp)	
	(1)	(2)	(3)	(4)	(5)	(6)
$\mathbb{1}\{Donated\}$	0.057***	0.060***	0.087***	0.087***	0.133***	0.140***
	(0.014)	(0.013)	(0.014)	(0.014)	(0.033)	(0.033)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connected\}$	0.159***	0.160***	0.172***	0.183***	0.127***	0.130***
	(0.030)	(0.032)	(0.027)	(0.027)	(0.042)	(0.043)
State FE	Yes	No	Yes	No	Yes	No
Pension FE	No	Yes	No	Yes	No	Yes
Vintage FE	Yes	Yes	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes	Yes	Yes
Bandwidth(Donated)	±5	±5	±3	±3	±1	±1
R^2	0.268	0.298	0.268	0.299	0.268	0.298
Observations	14,578	14,543	14,540	14,505	14,518	14,483
Raw Dep. Var. Mean	.062	.062	.062	.062	.062	.062

Table 10. Political connections and commitments before and after SEC Rule 206(4)-5

This table presents estimates of the effect of a connected candidate winning a close election on the probability that the donating GP receives a commitment from the corresponding public pension fund, separately for elections before and after the 2011 compliance date of SEC Rule 206(4)-5 and pooled with a post-2011 interaction. *Winner* equals one if the candidate wins the close election. $\mathbb{1}\{Exofficio\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is the Table 3 sample at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	$\mathbb{1}\{$Investment$\}$		
	(1)	(2)	(3)
Winner $\times$ $\mathbb{1}\{$*Ex officio*$\}$	0.061***	-0.007	0.064***
	(0.021)	(0.002)	(0.019)
Winner $\times$ $\mathbb{1}\{$*Ex officio*$\}$ $\times$ *Post-2011*			-0.074
			(0.020)
Sample	Pre-2011	Post-2011	Pooled
R^2	0.026	0.003	0.019
Observations	8,515	8,334	16,851

Table 11. Connection effects in incumbent and open-seat races

This table presents selection estimates separately for close races in which an incumbent is running and open-seat races, and pooled with an open-seat interaction. Incumbency status is from OurCampaigns candidate records. *Open seat* equals one if no incumbent runs in the race. *Winner* equals one if the candidate wins the close election. $\mathbb{1}\{Exofficio\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is the Table 3 sample at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	$\mathbb{1}\{$Investment$\}$		
	(1)	(2)	(3)
Winner $\times$ $\mathbb{1}\{$*Ex officio*$\}$	-0.0032	0.0729***	0.0046
	(0.0151)	(0.0253)	(0.0196)
Winner $\times$ $\mathbb{1}\{$*Ex officio*$\}$ $\times$ *Open seat*			0.0635*
			(0.0361)
Sample	Incumbent in race	Open seat	Pooled
R^2	0.033	0.024	0.019
Observations	5,483	8,415	13,904

Internet Appendix

Pay to Play: Political Connections and the Allocation of Public Capital

Table of Contents

IA.1 Additional Figures and Tables 65

IA.2 Heterogeneity in the Incentives of Politicians 85

IA.3 Sample Construction 86

IA.3.1 Preqin Datasets 86

IA.3.2 Merging Preqin with Political Contribution Records 88

IA.3.3 Merging Political Contribution Data with OurCampaigns Data . . . 89

IA.3.4 Public Pensions Database 90

IA.1 Additional Figures and Tables

Table IA.1. Differences between contributing and non-contributing GPs

This table presents the means of various characteristics for the samples of contributed and non-contributed GPs at GP-Year level, and the differences between these samples are presented in panels A and B. Panel A compares GPs that ever make political contributions and those that do not make any political contributions in my sample. Panel B examines characteristics within the sample of GPs that ever make contributions in my sample and compares the years when they make contributions and when they do not. All variables are defined in Section 3. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Panel A: Ever Contributed GPs vs. Non-Contributed GPs

	Sample: Contributed GPs			Sample: Not contributed GPs			Diff.
	Mean	Sd	Obs	Mean	Sd	Obs	Mean
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
GP Age	17.00	16.96	23,830	10.52	13.41	96,050	6.49***
GP AUM	352.43	1805.08	22,231	74.85	526.61	90,359	277.58***
#Buyout	0.21	0.66	23,830	0.07	0.34	96,050	0.14***
#Not Buyout	0.53	1.72	23,830	0.33	1.15	96,050	0.19***
Buyout Ratio	0.37	0.47	8,582	0.22	0.41	22,483	0.15***
Past performance	15.56	20.58	2,881	13.90	19.82	4,059	1.65***

Panel B: Contributed Year vs. Not Contributed Year | Ever Contributed GPs

	Sample: Contribution year			Sample: No contribution year			Diff.
	Mean	Sd	Obs	Mean	Sd	Obs	Mean
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
GP Age	17.69	19.55	2,088	16.94	16.69	21,742	0.75*
GP AUM	446.74	1766.06	1,932	343.45	1808.53	20,299	103.29**
#Buyout	0.23	0.65	2,088	0.21	0.66	21,742	0.02
#Not Buyout	0.62	1.82	2,088	0.52	1.71	21,742	0.11***
Buyout Ratio	0.36	0.47	859	0.37	0.47	7,723	-0.01
Past performance	12.87	14.63	301	15.87	21.15	2,580	-3.00**

Table IA.2. Performance of PE funds controlling for prior GP performance

This table presents coefficient estimates from Eq. (4) on the net IRR of PE funds, controlling for the final net IRR of the GP's most recent prior fund (with an indicator for GPs without a prior fund). $\mathbb{1}\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $\mathbb{1}\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	Net IRR (%)					
	(1)	(2)	(3)	(4)	(5)	(6)
$\mathbb{1}\{Donated\}$	6.614***	6.482***	9.672***	9.035***	9.990***	9.222***
	(1.431)	(1.459)	(2.106)	(1.980)	(1.831)	(1.731)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connected\}$	-4.659***	-3.414**	-7.296***	-5.448**	-7.607***	-5.629***
	(1.354)	(1.324)	(2.321)	(2.275)	(2.075)	(2.053)
GP prior-fund IRR	0.167***	0.161***	0.167***	0.161***	0.167***	0.161***
	(0.031)	(0.030)	(0.031)	(0.030)	(0.031)	(0.030)
Bandwidth(Donated)	±5	±5	±3	±3	±1	±1
R^2	0.303	0.315	0.303	0.315	0.303	0.315
Observations	11,231	11,200	11,199	11,168	11,196	11,165
Dep. Var. Mean	16.826	16.826	16.828	16.828	16.827	16.827

Table IA.3. The donor premium in close and lopsided races

This table examines why funds of donating GPs outperform other funds in the close-election samples of Table 4 but not in the full sample. Panel A reports the coefficient on *Donated* from Eq. (4) with state, vintage, and fund type fixed effects, in the full sample and in the close-election samples, which keep funds of donating GPs only when the race was within the window, and then the full-sample coefficient with *Donated* split by whether the GP's race was within ±5 pp. Standard errors clustered by state in parentheses. Panel B reports means of fund and GP characteristics for LP-fund commitments to funds of donating GPs whose race was within and outside ±5 pp, with the *t*-statistic of the difference. Net IRR is demeaned within state, vintage, and fund type cells. GP characteristics are measured in the year before the fund's vintage from Preqin. Past net IRR is the net IRR of the GP's most recent prior fund.

Panel A: Coefficient on *Donated* in Eq. (4), net IRR (%)

	Coefficient	Standard error	Observations
Donated, Full sample	1.584	(1.092)	11,457
Donated, ±5 pp window	7.033	(1.935)	11,231
Donated, ±3 pp window	8.507	(2.134)	11,199
Donated, ±1 pp window	8.852	(1.922)	11,196
Donated, race within ±5 pp (full sample)	6.06	(1.60)	11,457
Donated, race outside ±5 pp (full sample)	0.27	(1.19)	

Panel B: Funds of donating GPs by closeness of the race

LP-fund commitments (GPs)	Race within ±5 pp 89 (35)	Race outside ±5 pp 327 (97)	*t*-statistic
Net IRR, demeaned within state, vintage, and fund type cell (%)	5.8	0.3	3.20
GP assets under management ($ million)	2,261	3,389	-2.63
GP age (years)	17.2	22.0	-3.66
GP funds in sample	3.1	4.8	-4.64
GP past net IRR (%)	19.7	12.5	3.05
Commitment ($ million)	49.0	48.6	0.04
Vintage year	2009.3	2009.6	-0.40

Table IA.4. Costs and benefits of a connection

This table summarizes the costs and benefits of connection-based commitments: commitments by a public pension fund to a PE fund whose GP donated to a candidate who won a state election for an office that holds an ex officio seat on that fund's board, at any vote margin. Panel A is at the GP-candidate pair level (one contribution per pair, from FollowTheMoney). The second row divides the contribution by the candidate's total receipts in the race. Panels B to D are at the commitment level (one row per pension fund and PE fund). Commitment is from Preqin. Present value of lifetime fees applies Metrick and Yasuda (2010): 23.5% of the commitment for venture and growth funds and 19.4% for buyout and other funds. Forgone return applies the 4.2 pp to 7.1 pp net IRR shortfall of connection-based funds (Table 4) to the commitment, per year. Panel D divides the commitment-level benefit and cost by the contribution of the GP-candidate pair. Observed contributions are a lower bound on what the GP gives, so the ratios in Panel D are upper bounds.

	Mean	P25	Median	P75
Panel A: Cost to the GP (per GP-candidate pair)				
Contribution to the candidate ($)	9,395	1,000	2,625	10,000
Contribution as % of the candidate's total receipts	0.13	0.02	0.07	0.11
Panel B: Benefit to the GP (per connection-based commitment)				
Pension fund commitment ($ million)	51.3	25.0	35.0	67.5
Present value of lifetime fees, standard terms ($ million)	10.8	5.1	8.2	14.1
Panel C: Cost to the pension fund (per connection-based commitment)				
Forgone return per year at 4.2 pp ($ million)	2.15	1.05	1.47	2.83
Forgone return per year at 7.1 pp ($ million)	3.64	1.77	2.48	4.79
Panel D: Ratios (per connection-based commitment)				
Present value of fees per dollar contributed	5,995	1,289	2,766	6,462
Forgone return per year at 4.2 pp per dollar contributed	1,158	272	600	1,260

Table IA.5. Cash-flow pricing of connection-based commitments

This table prices connection-based commitments from the funds' cash flows (Preqin), for all connection-based commitments with cash-flow data and for those in the ±5 pp window. Paid-in capital is the plan's commitment times the fund's paid-in ratio; one commitment whose amount is missing in Preqin is set to the $30 million documented in the enforcement settlement that covers it. Value lost per dollar paid in is the sum over commitments of paid-in capital times the difference between a benchmark multiple and the fund's multiple, divided by the paid-in capital of the same commitments; multiples include residual net asset value. Benchmarks: the mean multiple of the other funds of donating GPs, pooled over all vote margins, in the same three-year vintage bucket and fund type group, with the bucket alone when the cell holds fewer than three funds; the mean multiple of non-donor funds of the same vintage and fund type group, with the vintage bucket and type when the cell holds fewer than three funds; the same restricted to non-donor funds held by plans in the same state, by vintage bucket and type, with the state and bucket alone when the cell holds fewer than three funds; and the public market, for which the loss per dollar paid in is one minus the fund's Kaplan and Schoar (2005) public market equivalent at the CRSP value-weighted index, a value at the index rather than an undiscounted dollar, as are the KS-PME rows. Brackets are 95% intervals from 1,000 bootstrap draws that resample the connected funds and the benchmark funds and recompute the cell means in each draw. The lower panel reports the cash-flow subsample's mean commitment, mean paid-in capital, mean paid-in ratio, and mean KS-PME.

	All connection-based commitments	±5 pp window
Panel A. Value lost per dollar paid in, TVPI units [bootstrap 95% interval]		
Against funds of donating GPs, any vote margin	0.18 [-0.12, 0.59]	0.20 [-0.46, 0.87]
Against non-donor funds of the same vintage and type	0.03 [-0.19, 0.28]	0.06 [-0.35, 0.69]
Against non-donor funds held by plans in the same state	0.02 [-0.19, 0.27]	0.03 [-0.31, 0.56]
Against the public market, one minus KS-PME (value at the index)	0.03 [-0.13, 0.16]	0.10 [-0.05, 0.38]
Panel B. Value lost per dollar paid in, KS-PME units (value at the index)		
Against funds of donating GPs, any vote margin	0.11 [-0.09, 0.43]	0.20 [-0.19, 0.68]
Against non-donor funds of the same vintage and type	-0.02 [-0.18, 0.13]	0.01 [-0.20, 0.36]
Against non-donor funds held by plans in the same state	-0.02 [-0.18, 0.16]	0.05 [-0.14, 0.35]
Panel C. Cash-flow subsample		
Mean commitment ($ million)	60.1	55.5
Mean paid-in capital ($ million)	59.2	54.6
Mean paid-in ratio	0.99	0.99
Mean KS-PME	0.93	0.83

Table IA.6. Prosecuted pay-to-play cases in U.S. public pension funds

This table lists adjudicated, settled, or charged cases in which payments to public officials or to intermediaries acting for them secured investments or mandates from U.S. public pension or public investment funds, 1998 to 2008, for which primary enforcement records (SEC complaints and orders, Department of Justice releases, state attorney general releases, court opinions) document both the investment secured and the payments made or agreed. Cases are coded by state. Transfers documented include placement and finder fees, kickbacks, gifts, and campaign contributions as itemized in the record. Outcome is the disposition of the official or intermediary who received the payment: guilty plea, conviction, settlement, or a scheme charged in a complaint or indictment without a separate disposition for that investment. Eight further cases without primary-record documentation of both amounts, and two in which a payment was demanded but never made, are omitted. The last rows report the median and interquartile range of transfers as a share of the investment secured, overall and excluding the New York State Common Retirement Fund. Sources and verification status for each row are listed in the replication package (cases_verified.csv).

Case	Pension fund	Years	Transfer type	Investment secured ($M)	Transfers ($M)	Of which contributions ($M)	Transfers, % of investment	Outcome
CT-1	Connecticut state funds	1998	Sham finder fee	150.00	1.50	0.000	1.00	Guilty plea
CT-2	Connecticut state funds	1998	Sham consulting contract	200.00	2.00	0.000	1.00	Conviction
IL-1	Illinois TRS	2003	Kickback	50.00	0.375	0.000	0.75	Guilty plea
MI-1	Detroit GRS and PFRS	2006-2008	Kickback	44.00	0.500	0.000	1.14	Conviction
NM-1	New Mexico SIC	2006	Sham placement fee	25.00	0.250	0.000	1.00	Guilty plea
NY-1	New York State Common	2003-2007	Sham placement fee	530.00	10.60	0.000	2.00	Guilty pleas
NY-2	New York State Common	2004-2006	Sham placement fee	20.00	0.400	0.000	2.00	Charged scheme
NY-3	New York State Common	2006-2007	Sham finder fee	30.00	0.600	0.000	2.00	Settlement
NY-4	New York State Common	2004-2006	Sham finder fee	20.00	0.300	0.000	1.50	Charged scheme
NY-5	New York State Common	2004-2007	Sham finder fee	100.00	1.21	0.000	1.21	Settlement
NY-6	New York State Common	2005-2007	Sham finder fee	100.00	0.600	0.000	0.60	Charged scheme
NY-7	New York State Common	2004-2007	Sham finder fee	100.00	0.505	0.000	0.51	Guilty plea
NY-8	New York State Common	2004-2007	Sham finder fee	500.00	2.40	0.000	0.48	Settlement
NY-9	New York State Common	2005	Sham placement fee	20.00	0.080	0.000	0.40	Charged scheme
NY-10	New York State Common	2003-2006	Contributions, gifts, fees	250.00	0.955	0.500	0.38	Guilty plea
NY-11	New York State Common	2003-2007	Sham distributions	750.00	1.26	0.000	0.17	Guilty plea
NY-12	New York State Common	2006-2007	Sham placement fee	765.00	1.15	0.000	0.15	Charged scheme
NY-13	New York State Common	2004-2006	Sham fee sharing	375.00	0.319	0.000	0.09	Guilty plea
NY-14	New York State Common	2003-2007	Sham fees	800.00	0.658	0.000	0.08	Settlement
Median (interquartile range), all 19 cases							0.75 (0.39–1.18)	
Median (interquartile range), excluding New York State Common, 5 cases							1.00 (1.00–1.00)	

Table IA.7. Investment decisions by survey-based state corruption

This table presents coefficient estimates from Eq. (2) on $\mathbb{1}\{Investment\}$ at various close state elections of vote margins. The regressions for Panel A use the subsample of states where the state corruption index from Boylan and Long (2003) is equal or above the sample median. The regressions for Panel B use the subsample of states where the state corruption index from Boylan and Long (2003) is lower than sample median. States without a survey score are excluded, so the two panels together contain fewer observations than Table 3. Standard errors are clustered at the state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	𝟙{Investment}			
Vote Margin:	Full sample	(–5 pp, +5 pp)	(–3 pp, +3 pp)	(–1 pp, +1 pp)
	(1)	(2)	(3)	(4)
Panel A: States of High Corruption Survey Score				
Winner	0.001	0.008**	-0.001	-0.003
	(0.002)	(0.003)	(0.005)	(0.006)
Winner × 𝟙{*Board Title*}	0.016**	0.026*	0.045	0.091***
	(0.006)	(0.013)	(0.027)	(0.018)
𝟙{*Board Title*}	0.015**	0.003*	0.001	0.005
	(0.006)	(0.002)	(0.003)	(0.010)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	±5	±3	±1
R^2	0.012	0.013	0.022	0.046
Observations	35,544	10,303	4,383	2,488
Dep. Var. Mean	.008	.005	.007	.008
Panel B: States of Low Corruption Survey Score				
Winner	0.001	0.029*	0.008	0.007**
	(0.002)	(0.014)	(0.007)	(0.002)
Winner × 𝟙{*Board Title*}	-0.024	-0.025	0.024	0.021
	(0.014)	(0.025)	(0.017)	(0.030)
𝟙{*Board Title*}	0.032*	0.043	-0.006	0.021*
	(0.017)	(0.029)	(0.010)	(0.009)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	±5	±3	±1
R^2	0.045	0.079	0.281	0.066
Observations	13,385	2,764	601	105
Dep. Var. Mean	.008	.005	.005	.018

Table IA.8. Management fee rates of PE funds

This table presents coefficient estimates from Eq. (4) on the management fee rates (%) of PE funds at close state elections. Management fee data are available for a smaller subsample than carry rates. Management fee data cover a smaller share of commitments, so the connection coefficients in this table are not informative. $\mathbb{1}\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $\mathbb{1}\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	Management Fee Rate (%)			
	(–5 pp, +5 pp)		(–3 pp, +3 pp)	
	(1)	(2)	(3)	(4)
$\mathbb{1}\{Donated\}$	0.183***	0.186***	0.236***	0.231***
	(0.051)	(0.051)	(0.058)	(0.062)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connected\}$	-0.009	-0.052		
	(0.054)	(0.056)		
State FE	Yes	No	Yes	No
Pension FE	No	Yes	No	Yes
Vintage FE	Yes	Yes	Yes	Yes
PE fund type FE	Yes	Yes	Yes	Yes
Bandwidth(Donated)	±5	±5	±3	±3
R^2	0.292	0.307	0.292	0.306
Observations	4,503	4,456	4,497	4,450
Raw Dep. Var. Mean	1.776	1.776	1.776	1.776

Table IA.9. Home-state tilt by donor group

This table splits the sample of Table 9 by the donating GP's electoral outcome. Rows are LP-fund commitments within the stated vote-margin window, constructed as in Table 9. Connected funds are those whose GP donated to a narrow winner of an office with an ex officio seat on the pension fund's board. Panel A reports the mean *Home Asset Ratio*, and its mean after demeaning within state, vintage, and fund type cells. Panel B regresses the *Home Asset Ratio* on indicators for the three donor groups, with non-donating funds as the omitted group and state, vintage, and fund type fixed effects. Standard errors clustered by state in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Panel A: Home Asset Ratio by donor group

	±5 pp window		±3 pp window	
	Mean	Demeaned	Mean	Demeaned
Connected (donated to a narrow winner with an ex officio seat)	0.425	0.080	0.491	0.096
Donated to a narrow winner without an ex officio seat	0.171	0.055	0.269	0.098
Donated to a narrow loser	0.218	0.078	0.175	0.046
No donation	0.061	-0.000	0.061	-0.000

Panel B: Regression of the Home Asset Ratio on donor-group indicators

	±5 pp window		±3 pp window	
	Coefficient	Standard error	Coefficient	Standard error
Connected (donated to a narrow winner with an ex officio seat)	0.216***	(0.025)	0.260***	(0.026)
Donated to a narrow winner without an ex officio seat	0.046*	(0.024)	0.145***	(0.022)
Donated to a narrow loser	0.080*	(0.046)	0.040**	(0.017)
Observations	14,578		14,540	

Table IA.10. Investment rates before and after SEC Rule 206(4)-5, by group

This table reports, among the 16,754 observations with an in-state pension fund (the 97 GP-candidate pairs without one enter the regressions as zero-outcome observations), the investment rate, the share of GP-candidate-pension fund observations that result in a postelection commitment, for close state elections with a ± 5 pp vote margin, separately for elections before and after the 2011 compliance date of SEC Rule 206(4)-5. Ex officio office indicates that the office the candidate runs for holds a seat on the public pension fund board by virtue of office.

	Investment rate (%)	
	Pre-2011	Post-2011
Ex officio office, candidate won	8.47	0.00
Ex officio office, candidate lost	1.33	0.83
Non-ex officio office, candidate won	1.39	0.19
Non-ex officio office, candidate lost	0.21	0.17

Table IA.11. Local linear regression estimates

This table presents coefficient estimates from a local linear estimator by Calonico, Cattaneo, and Titiunik (2014). Panel A (B) shows estimates using a triangular (rectangular) kernel. Column (1) uses the whole sample of elections and column (2) (3) use the subsample where the 𝟙{Board Title} variable equals zero (one). All variables are defined in Section 3 and the main text. Optimal bandwidths and bias-corrected estimates are determined using one common mean square error (MSE)-optimal bandwidth of Calonico, Cattaneo, and Farrell (2018) and re-estimated at 75% or 125% of optimal bandwidth for robustness. I include state fixed effects and standard errors are clustered at state level. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	𝟙{Investment}		
Sample:	Full sample	𝟙{Board Title}=0	𝟙{Board Title}=1
	(1)	(2)	(3)
Panel A: Coefficients of *Winner* (triangular kernel)			
Optimal bandwidth	0.010***	0.002	0.051***
	(0.000)	(0.004)	(0.002)
Observations	8,238	2,047	2,294
75% Optimal bandwidth	0.011***	0.008*	0.069***
	(0.000)	(0.004)	(0.002)
Observations	6,614	1,263	1,780
125% Optimal bandwidth	0.008***	-0.006*	0.042***
	(0.000)	(0.003)	(0.003)
Observations	12,137	2,088	3,232
Panel B: Coefficients of *Winner* (rectangular kernel)			
Optimal bandwidth	0.014***	0.005***	0.079***
	(0.000)	(0.000)	(0.005)
Observations	2,942	2,599	820
75% Optimal bandwidth	0.014***	0.008***	0.048***
	(0.001)	(0.000)	(0.006)
Observations	2,724	2,373	598
125% Optimal bandwidth	0.013***	0.005***	0.086***
	(0.000)	(0.000)	(0.003)
Observations	4,080	2,743	1,093

Table IA.12. PE allocation of pension funds

This table presents coefficient estimates from Eq. (2) on PE allocation (%) of public pension funds on various close state elections by vote margin. The control variables include asset size and fund ratio of pension funds. Standard errors are clustered at the state level and are reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	PE Allocation (%)			
	Full sample	(-5pp, +5pp)	(-3pp, +3pp)	(-1pp, +1pp)
	(1)	(2)	(3)	(4)
Winner	-0.000	-0.002**	-0.004***	-0.001
	(0.001)	(0.001)	(0.001)	(0.000)
Winner $\times$ $\mathbb{1}\{$*Board Title*$\}$	0.001	-0.001	0.002	-0.001
	(0.001)	(0.001)	(0.001)	(0.002)
$\mathbb{1}\{$*Board Title*$\}$	-0.001	0.002	-0.000	0.002
	(0.001)	(0.001)	(0.001)	(0.002)
Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Pension FE	Yes	Yes	Yes	Yes
Bandwidth (pp)	Full	$\pm$5	$\pm$3	$\pm$1
R^2	0.772	0.804	0.787	0.763
Observations	391,555	104,995	51,576	35,442
Dep. Var. Mean	.08	.075	.074	.07

Table IA.13. Performance of PE funds: first-time LP-GP relationships

This table presents coefficient estimates from Eq. (4) on the net IRR of PE funds, restricting the sample to first-time relationships by excluding commitments in which the public pension fund invested in an earlier fund of the same GP. $\mathbb{1}\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $\mathbb{1}\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	Net IRR (%)					
	(1)	(2)	(3)	(4)	(5)	(6)
$\mathbb{1}\{Donated\}$	10.988*	10.774**	13.262**	12.893**	14.025**	13.605**
	(5.482)	(4.999)	(5.075)	(5.463)	(6.040)	(6.517)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connected\}$	-11.893**	-11.145*	-11.991*	-12.837*	-12.746*	-13.545*
	(4.822)	(5.650)	(6.331)	(7.056)	(7.225)	(8.046)
Bandwidth(Donated)	±5	±5	±3	±3	±1	±1
R^2	0.225	0.240	0.225	0.240	0.225	0.240
Observations	4,686	4,634	4,672	4,620	4,671	4,619
Dep. Var. Mean	14.59	14.59	14.585	14.585	14.582	14.582

Table IA.14. Selection results controlling for ideological alignment

This table presents selection estimates controlling for GP-state ideological alignment. GP ideology is the donation-weighted mean DIME recipient score of all candidates the GP funds. State ideology is the state partisan lean. *Aligned* equals one if the GP and state lean toward the same party. The continuous measure is the product of standardized leans. *Winner* equals one if the candidate wins the close election. $\mathbb{1}\{Exofficio\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is the Table 3 sample at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. The alignment score is available for 15,113 of the 16,851 observations. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	$\mathbb{1}\{$Investment$\}$		
	(1)	(2)	(3)
Winner $\times$ $\mathbb{1}\{$*Ex officio*$\}$	0.0458**	0.0453**	0.0443**
	(0.0205)	(0.0207)	(0.0210)
Aligned		0.0029	
		(0.0030)	
Winner $\times$ *Aligned*		-0.0023	
		(0.0066)	
Alignment (cont.)			0.0018
			(0.0015)
Winner $\times$ *Alignment (cont.)*			0.0006
			(0.0023)
Alignment controls	None	Aligned interactions	Continuous alignment
R^2	0.017	0.017	0.017
Observations	15,113	15,113	15,113

Table IA.15. Performance results controlling for ideological alignment

This table presents coefficient estimates from Eq. (4) on the net IRR of PE funds, controlling for GP-state ideological alignment (with an indicator for GPs without an alignment score). $\mathbb{1}\{Donated\}$ equals one if the PE fund is managed by a GP that made a campaign contribution to a candidate running in a close state election, and zero otherwise. $\mathbb{1}\{Connected\}$ equals one if the politician the GP donated to sits on the board of the public pension fund as a result of the electoral outcome. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	Net IRR (%)					
	(1)	(2)	(3)	(4)	(5)	(6)
$\mathbb{1}\{Donated\}$	7.033***	6.590***	6.839***	8.507***	7.796***	7.820***
	(1.935)	(1.933)	(2.097)	(2.134)	(2.113)	(2.155)
$\mathbb{1}\{Donated\} \times \mathbb{1}\{Connected\}$	-5.745***	-5.829***	-5.781***	-6.723***	-6.578***	-6.310**
	(1.639)	(1.662)	(1.785)	(2.369)	(2.382)	(2.394)
Aligned		-0.408			-0.406	
		(0.510)			(0.511)	
Alignment (cont.)			-0.614*			-0.626*
			(0.311)			(0.315)
Alignment control	None	Aligned	Continuous	None	Aligned	Continuous
Bandwidth(Donated)	±5	±5	±5	±3	±3	±3
R^2	0.283	0.285	0.286	0.284	0.285	0.286
Observations	11,231	11,231	11,231	11,199	11,199	11,199

Table IA.16. Connection effects excluding sole-fiduciary pension funds

This table presents selection estimates excluding public pension funds governed by a sole fiduciary (an office whose ex officio board representation equals one). The sole-fiduciary subsample has 13 observations and is not reported. *Winner* equals one if the candidate wins the close election. $\mathbb{1}\{Exofficio\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is the Table 3 sample at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	$\mathbb{1}\{\text{Investment}\}$
	(1)
Winner $\times$ $\mathbb{1}\{$*Ex officio*$\}$	0.0471**
	(0.0204)
Sample	Excl. sole-fiduciary
R^2	0.014
Observations	16,838

Table IA.17. Connection effects by office type

This table presents selection estimates separately for gubernatorial and lieutenant-gubernatorial races and for down-ballot offices, and pooled with a down-ballot interaction. *Winner* equals one if the candidate wins the close election. $\mathbb{1}\{Exofficio\}$ equals one if the office the candidate runs for holds a seat on the public pension fund board by virtue of office. The sample is the Table 3 sample at the GP-candidate-pension fund level for close elections with a ± 5 pp vote margin, with state and election year fixed effects. Standard errors are clustered at the state level and reported in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	$\mathbb{1}\{$Investment$\}$		
	(1)	(2)	(3)
Winner $\times$ $\mathbb{1}\{$*Ex officio*$\}$	0.0297**	0.0549*	0.0235*
	(0.0120)	(0.0289)	(0.0117)
Winner $\times$ $\mathbb{1}\{$*Ex officio*$\}$ $\times$ *Down-ballot*			0.0322
			(0.0260)
Sample	Governor/Lt.Gov	Down-ballot	Pooled
R^2	0.015	0.026	0.017
Observations	13,344	3,500	16,851

Table IA.18. Connection effects with primary-only donors in the control group

This table re-estimates the ex officio specification used in the Internet Appendix robustness tables, the specification of Table 3, Panel B, without the appointment terms, at the ±5 pp margin after adding GPs that, in a given state, office, and year, donated only to candidates who lost a primary for a covered office. These GPs never obtained a connection and enter as unconnected donors, with their GP-candidate-pension fund cells constructed as in Section 2 and the investment window defined by the general election of the same year. Primary results come from county-level official results compiled by OpenElections, from Wikipedia election articles, and from archived Ourcampaigns pages, matched to the contribution records by candidate name within state, year, and office. Column (1) is the sample of Table 3. Column (2) adds all primary-only donors. Column (3) adds only those whose candidate lost the primary by at most 5 pp. Appended cells reports the added cells and, in parentheses, those with a commitment. Standard errors clustered by state in parentheses. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	𝟙{Investment}		
	(1) Baseline sample	(2) All primary-only donors	(3) Primary-only donors, close primaries
Winner × 𝟙{*Ex officio*}	0.0462**	0.0411*	0.0422**
	(0.0205)	(0.0211)	(0.0183)
Winner	0.0075***	0.0042**	0.0062***
	(0.0017)	(0.0019)	(0.0015)
𝟙{*Ex officio*}	0.0084***	0.0130**	0.0129***
	(0.0026)	(0.0058)	(0.0021)
Appended cells (invested)	0	10,875 (80)	3,178 (35)
State and year fixed effects	Yes	Yes	Yes
Observations	16,851	27,724	20,028

Table IA.19. Connection effects by politicians' future candidacy

Panel A presents coefficient estimates from Eq. (2) on $\mathbb{1}\{Investment\}$ at various close state elections of votes margin from the subsample of politicians who run any elections again after the election. Similarly, Panel B shows the results from the subsample of politicians who do not run any election again after the election. *Future election seeker* is an indicator equal to one if the candidate run any election in the future, including primary, local, state, and federal elections. Standard errors are clustered at state level and are reported in parentheses. All variables are defined in Section 3 and the main text. *, **, and *** denote statistical significance at 10%, 5%, and 1%, respectively.

Dependent Variable:	$\mathbb{1}\{$Investment$\}$			
Vote Margin:	Full sample	(–5 pp, +5 pp)	(–3 pp, +3 pp)	(–1 pp, +1 pp)
	(1)	(2)	(3)	(4)
Panel A: Future Election Seeker = 1				
Winner	0.001	0.006***	0.001	-0.006
	(0.002)	(0.002)	(0.002)	(0.006)
Winner × $\mathbb{1}\{$*Board Title*$\}$	0.010	0.035**	0.044**	0.081***
	(0.006)	(0.016)	(0.020)	(0.018)
$\mathbb{1}\{$*Board Title*$\}$	0.019***	0.006	-0.000	0.010
	(0.006)	(0.003)	(0.006)	(0.010)
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	±5	±3	±1
R^2	0.014	0.027	0.029	0.045
Observations	53,004	13,789	5,323	2,520
Dep. Var. Mean	.008	.005	.006	.008
Panel B: Future Election Seeker = 0				
Winner	-0.003	0.008	0.016**	0.024***
	(0.009)	(0.010)	(0.006)	(0.000)
Winner × $\mathbb{1}\{$*Board Title*$\}$	-0.018	-0.022	-0.016**	
	(0.019)	(0.030)	(0.006)	
$\mathbb{1}\{$*Board Title*$\}$	0.026*	0.030	-0.005***	
	(0.016)	(0.031)	(0.001)	
State FE	Yes	Yes	Yes	Yes
Election Year FE	Yes	Yes	Yes	Yes
Vote Margin (pp)	Full	±5	±3	±1
R^2	0.032	0.028	0.021	0.053
Observations	7,853	3,059	1,460	73
Dep. Var. Mean	.008	.007	.005	.027

IA.2 Heterogeneity in the Incentives of Politicians

Which type of politician has a strong incentive to steer public pension funds favorably towards connected GPs? Politicians rely on political contributions to fund their election campaigns. Presumably, if a politician plans to run for elections again in the future, this would affect the politician's incentives to steer pension funds towards making investment decisions favorable to the connected GP, from which the politician hopes to receive future contributions. Therefore, my results might be more pronounced for politicians with a stronger intention to run in future elections, as they may be more inclined to prioritize steering funds towards connected GPs to secure future political contributions.

To measure politicians' incentives toward future elections, I collect data on the race histories of each election candidate from OurCampaigns, which records federal, state, local, and primary elections. I define *Future Election Seeker* as equal to one if the candidate runs in any election after the given election. The variable measures the ex-post outcome rather than an ex-ante proxy of incentives, so the split is descriptive. Because the data include primary elections, in which candidates with intentions to run in future elections compete for a general election (Ware (2002)), the measure potentially captures most politicians with ex-ante needs for future campaign donations. I estimate results separately for the two groups of politicians defined by this indicator.

Panel A of Table IA.19 displays the estimated treatment effects from the estimation of Eq. (2) on the sample of election candidates whose *Future Election Seeker* value is equal to one. The regression for column (1) uses the full sample of state elections and shows no significant differences in the probability of GPs receiving investments from public pension funds. In contrast, using the close elections that provide quasi-random assignment of political connections, I find that GPs with political connections to state officials have a 3.5 pp to 8.1 pp higher probability of receiving investments from the

pension fund where the connected politician affects the pension board's composition. When compared to the unconditional mean of the dependent variable, which ranges from 0.5% to 0.8%, the magnitude is economically significant.

The results on the subsample of election candidates whose *Future Election Seeker* value is zero are depicted in the Panel B of Table IA.19. I find no significant differences between GPs who have political connections with public pension boards and those who do not in the likelihood of receiving investments from the public pension fund for all specifications, except column (3), where the coefficient is negative and no connection-based commitment lies behind it.[31]

The results are consistent with politicians' consideration of their future careers creating incentives to prioritize the interests of their contributors, and I read these splits as suggestive. These patterns are consistent with the favoritism toward contributors posited by Shleifer (1996), wherein politicians direct public capital toward the firms that contributed to their campaigns.

IA.3 Sample Construction

IA.3.1 Preqin Datasets

The Preqin data contains detailed information on alternative assets, such as private equity, venture capital, hedge fund, real estate, and infrastructure. The data are mainly from the Freedom of Information Acts (FOIA) requests and directly from GPs (Harris, Jenkinson, and Kaplan (2014)). It contains information on institutional investors, performance, and the underlying deals of PE funds. Harris, Jenkinson, and Kaplan (2014), Brown et al. (2015), and Gupta and Van Nieuwerburgh (2021) demonstrates that various commercial data sets frequently employed in

[31] For politicians not classified as future election seekers in close elections with a ± 1 pp vote margin, the main coefficient is not identified. Therefore, the main coefficients for close elections with a ± 1 pp vote margin are missing in Table IA.19.

PE literature yield similar estimates, mitigating concerns about selection bias in Preqin. Furthermore, Preqin's coverage of public pension funds is comprehensive as their main source comes from FOIAs to U.S. public pensions (e.g., Hochberg and Rauh (2013); Begenau et al. (2020)).

I merge across Preqin datasets, which mainly consist of various tables such as "investors," "funds," "performance," "commitment," and "deal" tables. This merging process aims to establish the investor - PE fund - portfolio company chain. To achieve this, I utilize unique identifiers for each LP, GP, and fund to merge across the tables. The following is a detailed description of each table:

(i) The "investor" table includes information on institutional investors, including their name, type (e.g., sovereign wealth, public pension, corporate pension, insurance company, bank, endowment, and etc.), and geographic location.

(ii) The "funds" and "performance" tables contain details on fund characteristics. This includes information such as fund type, vintage year, the managing firm (GP), and fund performance.

(iii) The "commitment" table enumerates institutional investors for each fund, along with the corresponding dollar amounts of their committed capitals. This table establishes a crucial linkage between institutional investors and their PE fund investment, enabling the identification of GPs who have invested in specific PE funds.

(iv) Regarding deal information from each fund, instead of downloading the "deal" table from Wharton Research Data Service (WRDS), I use the Preqin portal as it has more detailed information about the deal and portfolio companies. The information contains the name, geographic location, and industry classification of portfolio firms, where available.

IA.3.2 Merging Preqin with Political Contribution Records

I collect the records of political contributions from the Follow the Money database, which is from the National Institute on Money in State Politics.[32] This dataset contains a comprehensive records of campaign contributions to candidates for state elections. As the data covers every state elections in the U.S. from 1998, my sample runs from 1998 to 2022.

I employ a three-step process to merge the Preqin and political contribution data, using the name of GPs, donors, and donors' employer.

(i) Initially, I conduct an automatic matching of GP names from Preqin and donor or donor's employer name from the Follow the Money. This matching is performed using the Levenshtein et al. (1966) edit distance algorithm, requiring a minimum threshold similarity score of 70.

(ii) Second, as foreign nationals or non-U.S. organizations cannot legally contribute to U.S. election campaigns, I filter the contribution records from foreign GPs reported in my sample. This step ensures that the included contributions do not reflect potential individual ideological biases unrelated to the strategic decisions of GPs. Therefore, I examine the U.S.-incorporated (headquartered) GPs who are qualified to make campaign contributions.

(iii) Lastly, I manually review the list of matches obtained in the previous step. This manual verification involves manual review based on names, geographic location, industry classification (if available), and GP websites to confirm accurate matches.

To quantify the accuracy of the resulting links, I validate a stratified random sample of 120 candidate pairs: 60 accepted non-exact matches, 20 accepted exact matches,

[32] Detailed information is available at McGovern and Greenberg (2014).

and 40 rejected pairs with name similarity above 90. Each pair is reviewed twice independently, and contested pairs are adjudicated against the underlying contribution records, using the donor's city, occupation, and sibling records of the same donor. Among accepted links, 53 of 60 non-exact and 19 of 20 exact pairs are confirmed correct, a precision of 88% for non-exact and 95% for exact accepted links. The confirmed errors typically attach a donor employed by a similarly named firm in another state. Among rejected high-similarity pairs, 5 of 40 are true matches missed because of single-character typos in donor-reported names, so the manual review errs toward rejection, and such misses understate true connections rather than create false ones. The links underlying the treated connection events are unaffected: every match behind those events is either an exact string match or an unambiguous variant of the GP's name, such as a dropped suffix or a single-character typo of a well-known firm. One class of accepted links warrants a separate check: for corporate venture arms, a donor's employer string sometimes names the parent organization rather than the arm itself, so such links may capture rank-and-file parent employees. Excluding the 22 GPs whose links include such parent-organization employer strings leaves the selection estimate at 4.9 pp and statistically significant and the performance estimate unchanged, because no treated commitment relies on such a link.

IA.3.3 Merging Political Contribution Data with OurCampaigns Data

I attain the records of electoral outcomes from OurCampaigns.[33] These data include information such as the number of votes for each candidate, election jurisdiction, election year, and basic candidate details. I merge the Follow the Money data with the electoral outcome data by using the candidate names, campaign office title, election year, and election state. For the unmatched sample, I use middle names, nicknames,

[33] http://www.ourcampaigns.com

or abbreviations to match. This involves a manually matching based on names and online sources for each election candidate.

IA.3.4 Public Pensions Database

I obtain public pension plan-level information from the Public Pensions Database (PPD), a comprehensive source including detailed annual data on U.S. state and local pension plans. This dataset covers 229 pension plans, covering 95% of public pension membership and assets.[34] The data spans from 2001 to 2022 and includes a range of details, such as balance sheet information, asset allocations, investment returns, and more.

To supplement this information, I collect data on the board composition of public pension funds. These data are sourced from the Comprehensive Annual Financial Reports (CAFRs), pension fund websites, and state or municipal codes, following the methodology outlined by Andonov, Hochberg, and Rauh (2018). The CAFRs contain the type of trustees on the pension fund board, distinguishing whether trustees obtained their seats through two categories: appointed/elected/ex officio (which means serving by the virtue of title that the trustee holds), and official/plan participant/public. Given the significant heterogeneity in board composition among U.S. public pension funds, and the fact that this composition is determined prior to their investment in PE funds (Andonov, Hochberg, and Rauh (2018)), exploiting this board composition information provides an advantage in attributing each investment to a specific public pension board member.

[34] https://publicplansdata.org/public-plans-database

Figure IA.1. Financial status of U.S. public pension funds

This figure plots the total assets (left y-axis, in trillion dollars), total liability (left y-axis, in trillion dollars), and the average funding ratio (right y-axis) of public pension funds in the U.S. over time. The funding ratio is defined as the actuarial total assets divided by the actuarial total liability. The data are sourced from Public Plans Data (PPD).

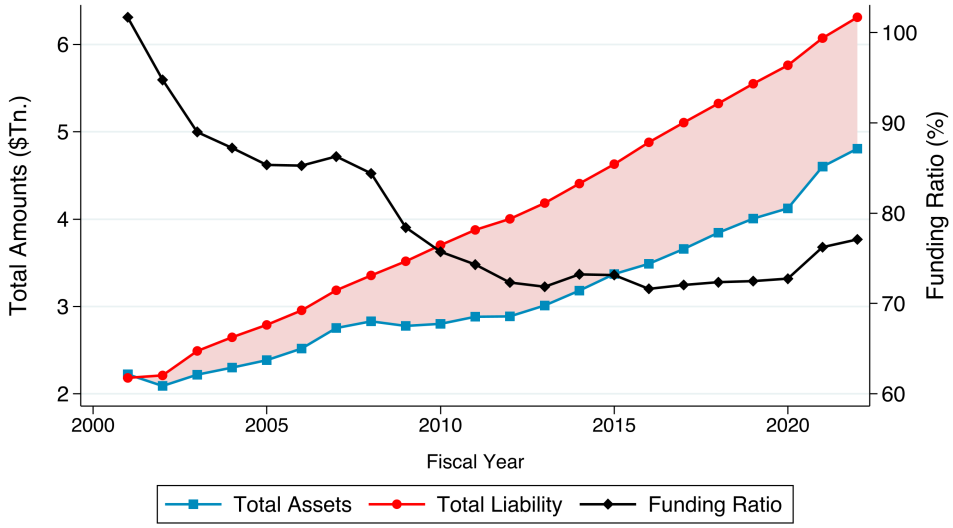
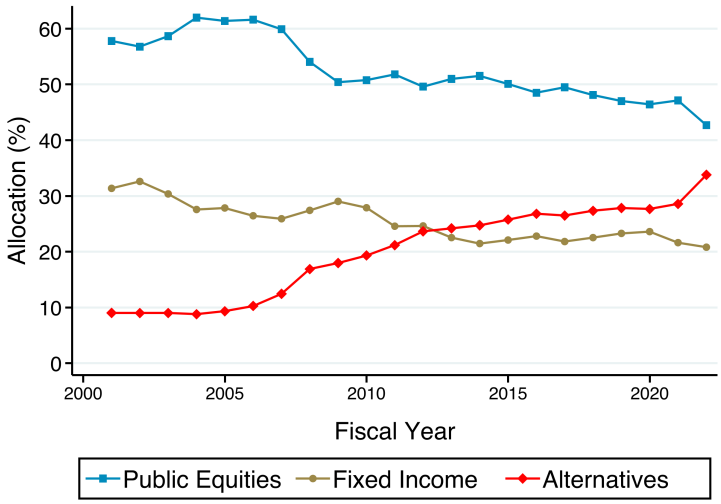


Figure IA.2. Portfolio allocation of U.S. public pension funds

Panel (A) shows the investment allocation of U.S. public pension funds across asset classes. Panel (B) shows the average allocation within alternative assets. Alternative assets include private equity, hedge fund, real estate, commodities, and alternative miscellaneous. Source for this figure is from Public Pension Plan Data (PPD).

(a) Investment allocation of public pension funds



(b) Allocation within alternative assets

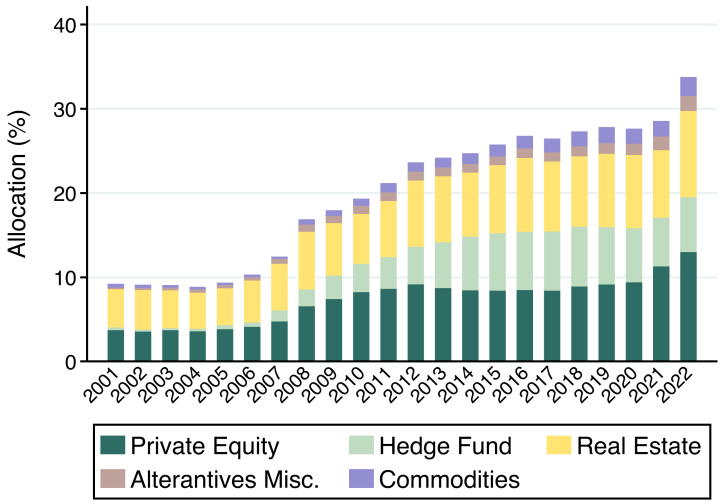


Figure IA.3. Donations by office

This figure shows the average amounts of donations from GPs to state officials by the title of the office, with 95 % confidence intervals.

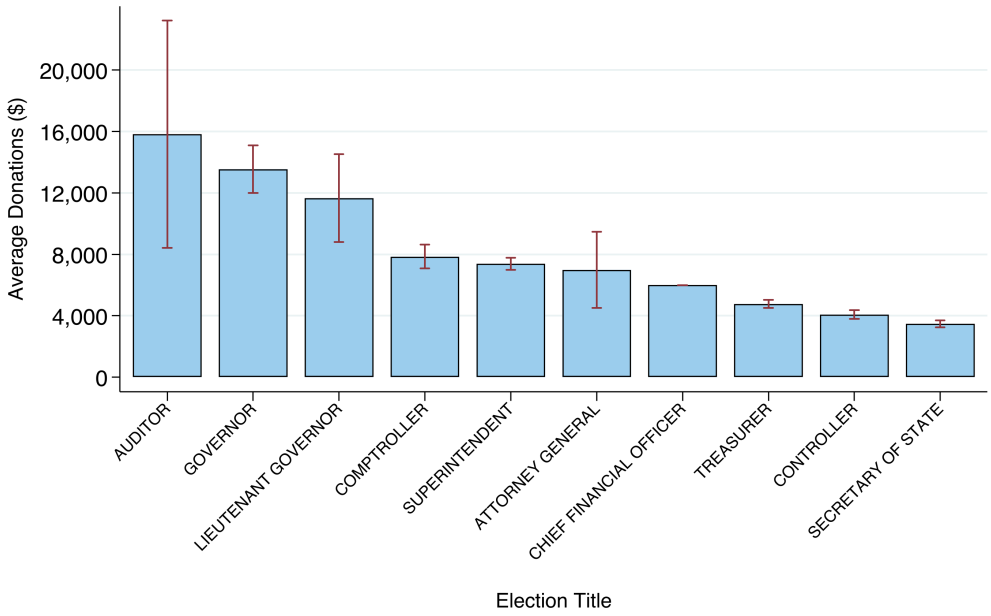
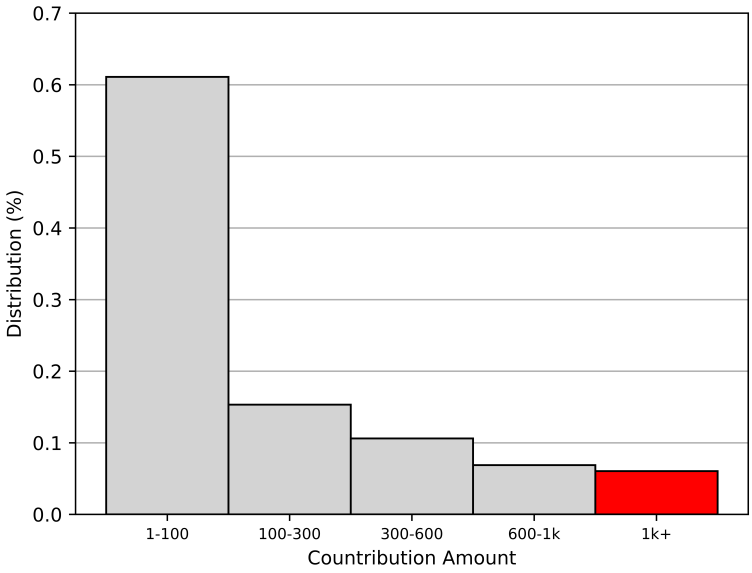


Figure IA.4. Distribution of contributions

Panel (A) gives the distribution of each donation amount to every state election candidate from all records of contributions. Panel (B) displays the distribution of donation amounts to state election candidates included in my sample. The red bar indicates the range in which the average donation amount from GPs in my sample belong.

(a) Full sample



(b) Close elections

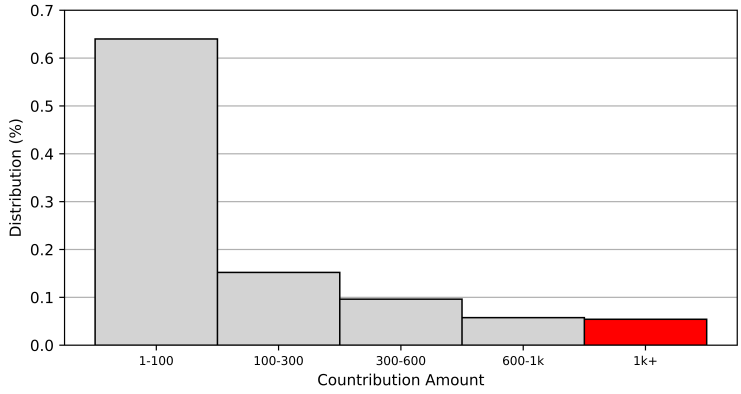
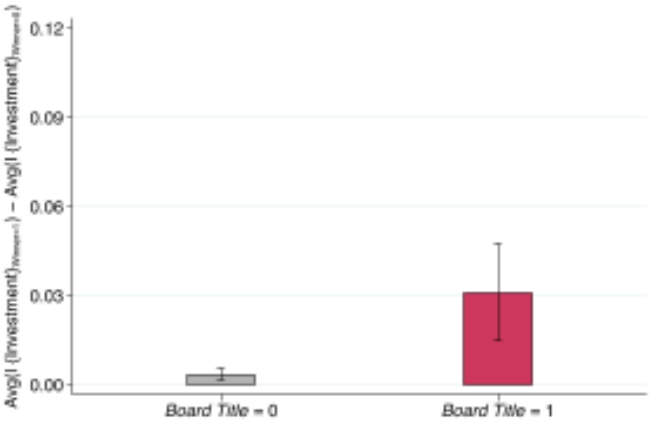


Figure IA.5. Winner-minus-loser differences in investment decisions by board membership

This figure plots the differences in the average values of $\mathbb{1}\{\text{Investment}\}$ variable across *Winner* group, within each group categorized by $\mathbb{1}\{\text{Board Title}\}$ variable, with 95 % confidence intervals. $\mathbb{1}\{\text{Board Title}\}$ is an indicator equal to 1 if the title of office that candidate runs for is assigned as or appoints a pension board member by virtue of holding the title. When calculating group means, I split candidates by Winner variable. For each Winner group, I split observations by $\mathbb{1}\{\textit{Board Title}\}$ by different vote margins. Panel (A), (B), and (C) present values for close elections with vote margins of 5 pp, 3 pp, and 1 pp, respectively.

(a) Vote margin = (-5 pp, +5 pp)



(b) Vote margin = (-3 pp, +3 pp)

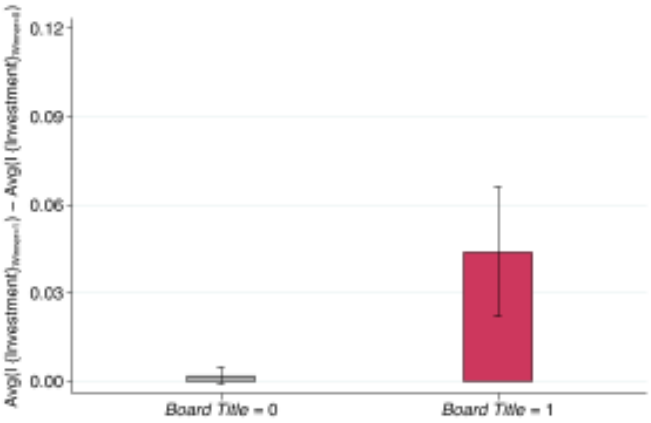


Figure IA.5. Winner-minus-loser differences in investment decisions by board membership (continued)

(a) Vote margin = (-1 pp, +1 pp)

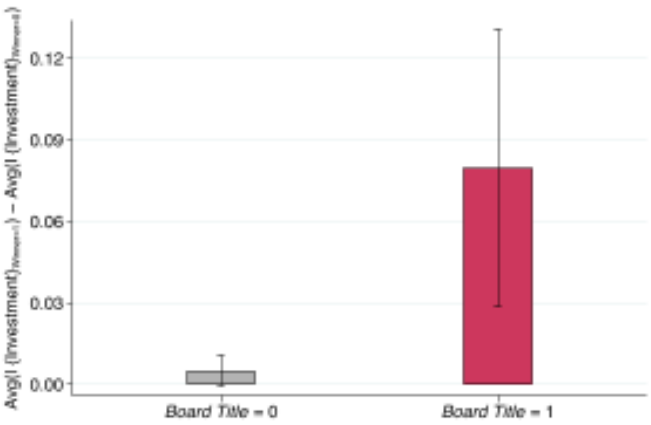
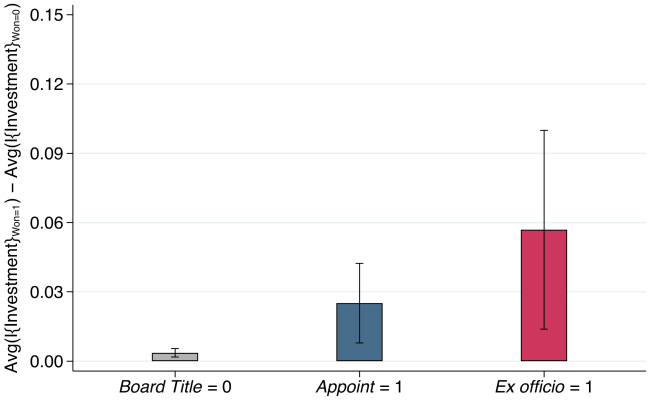


Figure IA.6. Winner-minus-loser differences in investment decisions by office group

This figure plots the differences in the average values of $\mathbb{1}\{\text{Investment}\}$ variable across *Winner* group, within each group categorized by $\mathbb{1}\{\textit{Ex officio}\}$ and $\mathbb{1}\{\textit{Appoint}\}$ variable, with 95 % confidence intervals. $\mathbb{1}\{\text{Ex officio}\}$ is an indicator equal to 1 if the title of office that candidate runs for is assigned as a board member of the public pension funds by virtue of holding the title. $\mathbb{1}\{\text{Appoint}\}$ is an indicator equal to 1 if the title of office that candidate runs for appoints a delegate as a board member of the public pension funds by virtue of holding the title. When calculating group means, I split candidates by Winner variable. For each Winner group, I split observations by $\mathbb{1}\{\textit{Ex officio}\}$ and $\mathbb{1}\{\textit{Appoint}\}$ group, defined in Section 4.1 by different vote margins. Panel (A), (B), and (C) present values for close elections with vote margins of 5 pp, 3 pp, and 1 pp, respectively.

(a) Vote margin = (-5 pp,+5 pp)



(b) Vote margin = (-3 pp,+3 pp)

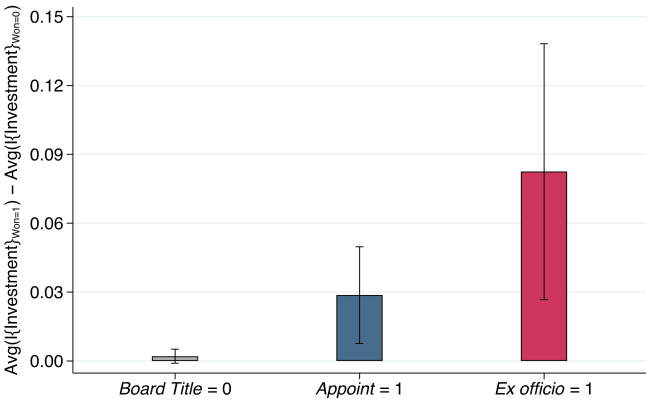


Figure IA.6. Winner-minus-loser differences in investment decisions by office group (continued)

(a) Vote margin = (-1 pp,+1 pp)

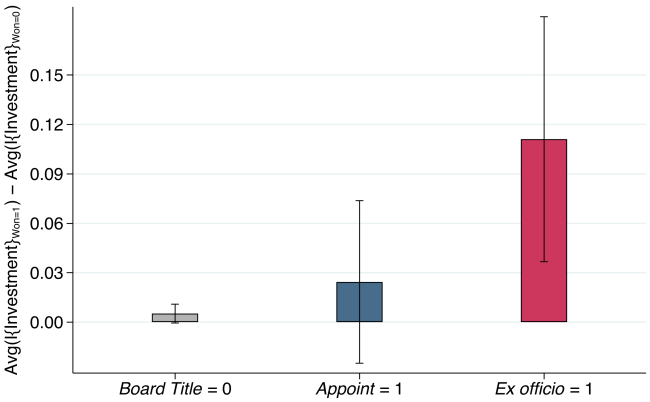
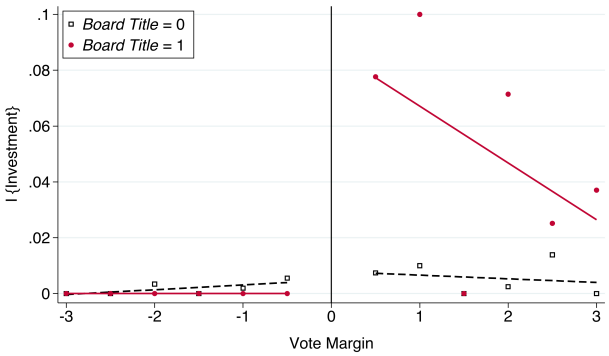


Figure IA.7. Investment decisions around the electoral threshold

This figure plots the average value of $\mathbb{1}\{Investment\}$ by vote margin within ± 3 percentage points (pp), with local linear fits on each side of the threshold. Panel (A) uses bins 0.5 pp wide, so candidates who win by between 0.01 pp and 0.5 pp are in the 0.5 bin and those who lose by similar margins are in the -0.5 bin. Panel (B) uses bins 0.25 pp wide.

(a) Bin width = 0.5 pp, Bandwidth = ± 3 pp



(b) Bin width = 0.25 pp, Bandwidth = ± 3 pp

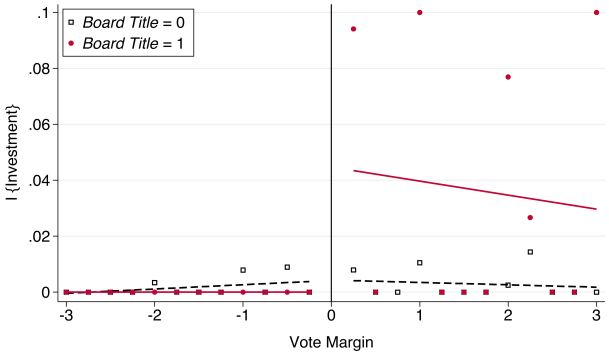
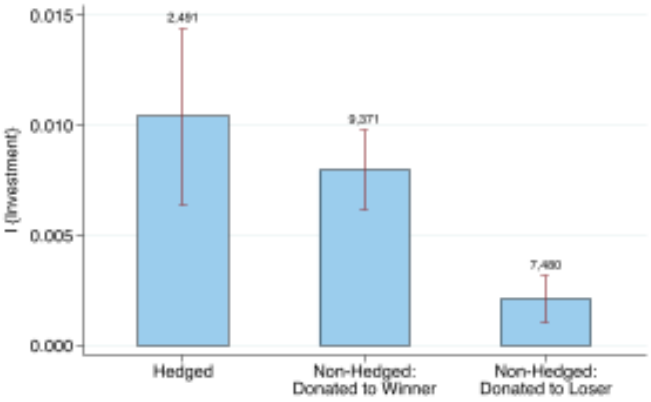


Figure IA.8. Investment decisions for GPs that donate to both candidates

This figure presents the means of $\mathbb{1}\{\text{Investment}\}$ for the subsamples of GPs that donated both to winner and loser, GPs that donated only to winner, and GPs that donated only to loser at given election. Panels (A), (B), and (C) shows the results from the state elections of vote margin ± 5 pp, ± 3 pp, ± 1 pp, respectively.

(a) Vote margin = (-5 pp, +5 pp)



(b) Vote margin = (-3 pp, +3 pp)

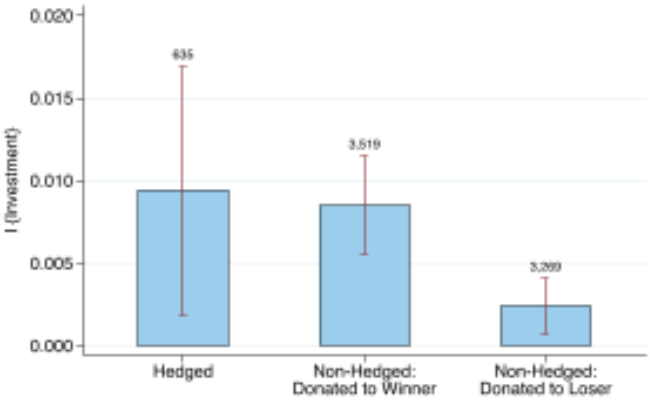


Figure IA.8. Investment decisions for GPs that donate to both candidates (continued)

(a) Vote margin = (-1 pp, +1 pp)

